LONDON BOROUGH OF NEWHAM

CABINET

Report title	**Final Budget 2026/27, Council Tax 2026/27 and MTFS 2026/27-2030/31: Establishing Financial Resilience, Sustainability and Delivering a Fairer Newham**	
Date of Meeting	**Tuesday 17 February 2025**	
Lead Officer	**Andrew Ward, Deputy Director of Finance (Deputy Section 151 Officer)**	
Corporate Director	**Maria G. Christofi, Interim Assistant Chief Executive – Change & Improvement & Corporate Director of Resources (Section 151 Officer)**	
Lead Member	**Cllr Zulfiqar Ali, Cabinet Member for Finance and Resources**	
Key Decision?	Yes	Reasons: Decisions over £1m
Exempt Information & Grounds	No	Grounds: N/A
Wards Affected	All	
Appendices		

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Introduction by Cllr Zulfiqar Ali, Cabinet Member for Finance and Resource

As Cabinet Lead for Finance and Resources, I am pleased to say there will be no Exceptional Financial Support (EFS) as we are presenting a Balanced Budget for the 2026/27 financial year alongside a strengthened and more sustainable Medium-Term Financial Strategy for the years ahead. This is the final budget of this administration, and it represents an important milestone for our borough. It is not simply a financial document; it is a statement of resilience, responsibility and long-term sustainability. It reflects the collective effort, discipline and shared values of this Labour administration, our senior leadership team and the many dedicated council staff who work tirelessly for the people of Newham.

Over recent years we have faced unprecedented financial and social pressures. Rising demand for essential services — particularly homelessness and temporary accommodation — the cost-of-living crisis, persistent inflation, and historic underfunding have created sustained strain on local government finances. Behind these pressures are real lives: families seeking secure housing, older residents needing dignity in care, young people searching for opportunity, and vulnerable residents requiring protection and support. Throughout these challenges, our guiding principle has been clear: financial responsibility must go hand in hand with compassion, and resilience must be built through sustainable decisions rather than short-term fixes.

This administration has never shied away from difficult choices, but we have always approached them with residents at the centre of our thinking and with a firm commitment to financial resilience and organisational sustainability. Our priorities have been to protect frontline services wherever possible, strengthen neighbourhoods, invest in prevention and early intervention, support young people and families, and ensure that those most in need are not left behind. These priorities are not only socially responsible — they are financially sustainable, reducing future demand and building long-term resilience into the council's service delivery model.

We have faced unprecedented challenges in homelessness and Temporary Accommodation costs, along with rising costs of service delivery and demographic changes. Despite these we have made significant progress in improving financial governance, transparency and accountability. Stronger scrutiny processes and clearer reporting. These have increased organisational resilience and enabled more sustainable financial decision-making. These improvements are fundamental to ensuring that Newham is not simply reacting to pressures year by year but is building a stable and sustainable financial future.

Balancing this Budget has required honesty, discipline and transformation. Through detailed Budget challenge sessions, zero-based budgeting reviews, benchmarking with other authorities and a relentless focus on value for money, we have examined every area of expenditure. This has not been about reducing services for the sake of savings; it has been about redesigning services, so they are efficient, modern and financially sustainable. We have placed strong emphasis on prevention, digital enablement and service redesign so that improvements today contribute to financial resilience tomorrow.

Our Capital programme has also been carefully reviewed to ensure that investment supports long-term sustainability. We have prioritised safety, statutory obligations,

essential infrastructure and invest-to-save schemes that reduce ongoing revenue pressures. This disciplined approach to capital spending strengthens our financial resilience, reduces borrowing where possible and ensures that future administrations inherit a more stable and sustainable financial platform.

One of the most significant achievements of this administration has been restoring Financial Resilience. We have rebuilt General Fund Balance, strengthened internal controls, improved forecasting and adopted a prudent approach to borrowing. These measures are not merely technical financial actions; they are the foundations of sustainability. A resilient council is one that can withstand economic uncertainty, respond to unexpected demand and continue delivering reliable services to its residents. The financial position we present today is markedly stronger, more stable and more sustainable than in previous years.

This Budget also introduces key proposals and improvements that directly support both social and financial sustainability. These include continued investment in housing supply and homelessness prevention to reduce long-term temporary accommodation pressures; strengthened support for children and families through earlier intervention; sustainable funding for adult social care; targeted improvements to neighbourhood and environmental services; and focused assistance for residents facing cost-of-living challenges. Alongside these service investments, we continue to advance digital transformation and modern service delivery, improving accessibility for residents while delivering efficiencies that enhance long-term financial sustainability.

Importantly, this Budget reflects a shift toward more preventative and demand-management approaches. By investing in early help, community support and service redesign, we are building resilience into the system itself — reducing avoidable costs, improving outcomes and creating a more sustainable service model for the future. These changes are not short-term savings; they are structural improvements designed to strengthen the council's financial and operational sustainability over the medium and long term.

We also recognise the importance of the national funding context. Emerging reforms and fairer funding considerations have begun to better acknowledge the scale of need in boroughs such as Newham. While prudent Financial Management remains essential, this evolving landscape provides a more stable planning environment and contributes to the improved medium-term outlook we are now able to present — further reinforcing the Resilience and Sustainability of our Financial strategy.

As this is the final Budget of this administration, it is right to recognise those who have made this progress possible. I extend sincere thanks to the Mayor, my Cabinet colleagues, Scrutiny Members, all elected Members, our senior leadership team, the Section 151 Officer, our finance professionals and every member of staff who has worked with professionalism and dedication, often under considerable pressure. I also thank the residents and businesses of Newham for their engagement, feedback and trust. Their voices have strengthened our decision-making and ensured that Financial Resilience and Sustainability remain central to our approach.

We leave the council's finances on a far more secure and sustainable footing than in previous years. This Balanced Budget provides stability, resilience and a credible long-

term platform for the incoming administration to continue delivering opportunity, fairness and high-quality services. It is not merely the closing chapter of one term — it is the sustainable foundation for the next.

Ultimately, this Budget is about people and about the future of our borough. It is about ensuring that children have the support they need to succeed, that vulnerable residents are protected, that our streets and neighbourhoods remain places we are proud to call home, and that public money is used wisely, responsibly and sustainably. Good financial management is not an end in itself; it is the means by which we build a fairer, more resilient and more sustainable Newham for everyone.

The Section 151 Officer has provided the statutory Section 25 statement assurance that the Council's 2026/27 Budget estimates are robust and that the level of Reserves is adequate. The statement confirms that, despite ongoing economic uncertainty and service demand pressures, the proposed Budget is Balanced on a Sustainable basis for the next 3 years without reliance on Exceptional Financial Support. It highlights strengthened financial controls, delivery of significant savings and transformation programmes, and the rebuilding of the General Fund Balance to around 10% of net revenue expenditure, alongside the creation of dedicated risk reserves. While recognising continued risks around inflation, demand for social care and high levels of external debt, the overall professional opinion is that the Council is financially resilient, with appropriate governance, monitoring arrangements and contingency provisions in place.

With these words, Mayor, I ask Cabinet to approve the recommendations set out in this report and to commend this Resilient and Sustainable Budget to Full Council.

1. Executive Summary

1.1. As per the Local Government Finance Act 1992, the Executive is required to recommend to Council for approval a balanced Revenue Budget alongside a Capital Programme on an annual basis before 11 March.

1.2. The main purpose of this report is to enable the Mayor and Cabinet to consider its final 2026/27 Revenue Budget proposals and the proposed Capital Programme at a formal meeting of Cabinet on the 17 February 2026, considering the final Local Government Financial Settlement, which was published by the Ministry of Housing Communities and Local Government (MHCLG) on the 9 February 2026.

1.3. Thereafter, the Executive will present its recommendations to Council to approve a final 2026/27 Revenue Budget, the Capital Programme to 2028/29 and set the Council Tax for the 2026/27 financial year at a meeting of Full Council on 27 February 2026. The budget is based on an increase of 4.99% in Council Tax, made up of a 2.99% general Council Tax increase, and a 2.00% Adult Social Care Precept increase.

1.4. This report explains the changes made to the 2026/27 draft 'Building a Fairer Newham through Financial Sustainability' Budget published on the 22 December 2025 which was approved by the Mayor and Cabinet on 8 January 2026 and subject to further engagement with residents, stakeholders and discussions with the Council's Scrutiny Budget Working Committee.

1.5. In summary the final 2026/27 Budget proposals balances; significant ongoing demand led, demographic and inflationary pressures of £59.860m; with total savings of £55.747m; and additional income, mainly because of the government's Fair Funding Review increases of £44.293m. A balanced outturn position requires the delivery of ***all*** the savings set in this report to time, value and profile.

1.6. As previously highlighted in the draft 2026/27 Budget report presented to the Mayor and Cabinet in January 2026, Exceptional Financial Support in the form of using Capital receipts to achieve a balanced Revenue position is **not required** from central government to balance the proposed 2026/27 Final Budget plan. This means that the Council will not be selling assets to fund the ongoing costs of delivering services, as it now has a sustainable Balanced Budget for the next 3 years, and a sustainable approach to a new 5-year Medium Term Financial Strategy approach.

1.7. **The Council has addressed Financial Sustainability in the 2026/27 Budget and MTFS** and will continue this Financially Sustainable position, balancing its Budget in a sustainable way for 3 years – 2026/27, 2027/28 and 2028/29. This budget demonstrates the improvement made to establish Financial Sustainability and stability as required by MHCLG in its non-statutory Best Value Notice to the authority in May 2025[1]. The notice included following:

[1] Newham Council: Best Value Notice (May 2025)

- *Significant value for money weaknesses around the council's governance arrangements, highlighted by the council's external auditor in their annual report published on 20 February 2025.*
- *Cultural and governance issues identified in a scrutiny improvement review by the Centre for Governance and Scrutiny in 2023, and the LGA's corporate peer challenge completed in December 2023 and subsequent progress review in October 2024.*
- *Significant delivery concerns about some of the programmes delivered by the authority, particularly following the Regulator of Social Housing C4 grading published in October 2024*.

MHCLG is expecting that Newham "*Take steps to improve its financial sustainability, reflecting this in the council's medium-term financial strategy*".

1.8. MHCLG referenced fulfilling the External Audit Recommendation made by Ernst and Young in their Value for Money report 2023/24 on 20 February 2025[2], which stated:

- "*The Council requires urgent action to restore it to a financially sustainable position*" and "*It should consider actions required to address the continuous use of reserves and capital receipts to support the general fund budget and restore the general fund reserve to the level recommended by the Corporate Director of Resources. It is the responsibility of all officers and elected members to work together to agree and deliver plans to return the Council to a financially sustainable position*"

1.9. The 5 year Medium Term Financial Strategy in **Appendix R (i)** outlines the projections for budget growth, and after accounting for the savings included in this report, shows a forecast balanced budget until 2029/30. The Council will continue to work on a long term basis to identify strategies to meet the financial pressures projected in years 4 and 5 of the MTFS.

1.10. The budget increases the Contingency to £10.000m, although this is an increase to prior years, it is however approximately 2% of the Net General Fund Revenue Budget. This may need increasing in future years. Some of the known potential risks that the Council may need to manage are listed in **Section 16**.

1.11. **The Council has also addressed Financial Resilience** in this year as the report includes the results of a review of reserves conducted by the Section 151 officer, of all Earmarked Reserves, and this shows the consolidation of reserves, increasing General Fund Balance, the introduction of a new Transformation Reserve, and new Business Risk Reserve, which will help manage the financial risks the Council faces.

1.12. After accounting for the forecast underspend in 2025/26, it is forecasted that unallocated General Fund Balance can be set at £52.090m and then maintained

[2] External Auditors Completion Report Feb 2025

at 10% of the Net General Fund Revenue Budget for the 5 year MTFS period. This is the Council's financial safety net and last line of defence.

1.13. The final 2026/27 Budget report acknowledges the ongoing financial challenges facing the Council and sets out the risks it is prudent to anticipate. Consequently, taking into account the Service budgets proposed including Growth for Demographic Demand and Inflation, the Contingency provided for, and the new levels of General Fund Balance and Earmarked Reserves, the Mayor and Cabinet can be assured that the final 2026/27 Budget can be considered sustainable and resilient in the medium term.

2. Recommendations

For the reasons set out in the report and its appendices, the Mayor and Cabinet are recommended to agree that the final 2026/27 Budget proposals should be recommended to Full Council for approval:

2.1. Note the conclusions of the Council's Interim Section 151 Officer in their Section 25 report (**Appendix A**) confirming the robustness of the Budget estimates and Medium Term Financial Strategy, the adequacy of the level of Council's Reserves and the Reserves Strategy, as required by Section 25 of the Local Government Act 2003.

In respect of the Capital Investment Programme 2026/27 to 2028/29

2.2. Agree the Capital Investment Programme of £292.978m in 2026/27 and a further £2,257.322m in future years along with the unchanged Community Infrastructure Levy (CIL) infrastructure list, as set out in **Section 8** and the Capital Investment Strategy **Appendices B**, **C(i), C(ii)** and **C(iii)**.

2.3. Agree to notify the Secretary of State of the plans to fund transformative expenditure to generate ongoing savings using the provision for Flexible Use of Capital Receipts as per **Appendix D**.

2.4. Agree the Treasury Management Strategy and Prudential Indicators as set out in **Appendix E and E(i).**

2.5. Agree the Annual Investment Strategy and Minimum Revenue Provision Policy as set out in **Appendix E and E(iii)** and

2.6. Agree the Non Treasury Investment Strategy 2026/27 set out in **Appendix F**.

2.7. **In respect of Fees, Charges for 2026/27**

2.8. Agree or note, as appropriate, the proposed fees and charges as set out in **Appendix G** for implementation from April 2026.

2.9. Note the Parking Revenue Account as set out in **Appendix H** and reported in **Section 10**.

In respect of the General Fund Budget 2026/27

2.10. Note that the Council has balanced its budget for 2026/27 as set out in **Section 4** and **Appendix I**.

2.11. Note the Proposed Budget Tables showing the Council's budget by Directorate and Service for the 2026/27 financial year in **Appendix I**.

2.12. Note that the level of the Dedicated Schools Grant (DSG), for 2026/27 has been set at £290.802m, and approve the local funding formula recommended by the Schools Forum in **Appendices J(i), J(ii)** and **J(iii)**.

2.13. Note the report on Budget Engagement as set out in **Appendix K**.

2.14. Having considered the cumulative Equalities Impact Assessment of the budgetary savings and growth as set out in **Appendix O**.

2.15. Agree the Budget Saving £54.178m and Growth proposals £59.860m to be made to the Budget for 2026/27 as set out in **Appendices L, M** and **N.**

2.16. Note the cumulative equalities impact assessment of the budgetary savings and growth as set out in Appendix O.

2.17. Note the Specific Revenue Grants Schedule detailed in **Appendix P**.

2.18. Agree the General Fund Net Budget requirement for 2026/27 be set at £520.897m for 2026/27 and the individual Directorate Budgets for 2026/27 as set out in **Appendix I**.

In respect of Council Tax and Business Rates for 2026/27

2.19. Agree an overall 4.99% increase in the Council's element of Council Tax for 2026/27, made up of 2.00% as a precept for Adult Social Care and a 2.99% general Council Tax increase.

2.20. Agree, having taken into account the outcome of the statutory consultation process, to implement the Council Tax Reduction Scheme as set out in **Section 14**.

2.21. Subject to confirmation of the GLA's precept, agree to set the overall amount of Council Tax for 2026/27 as set out in **Appendix Q** the Council Tax Resolution.

In respect of the Medium-Term Financial Strategy

2.22. Consider and approve the 5 year Medium Term Financial Strategy 2026/27 to 2030/31 in **Appendices R, R(i)** and **R(ii)**.

2.23. Notes the Budget pressures, risks and uncertainties as set out in **Section 16**.

2.24. Note the total Net Savings proposals of £89.812m, and growth proposals of £277.913m in the Medium Term Financial Strategy in **Appendices L, M** and **N**.

2.25. Note the forecast £46.077m savings required in years 2029/20 and 2030/31 to balance the MTFS dependent on future Central Government funding decisions as set out in **Appendix R(ii)**.

2.26. Note the review of Reserves including the forecast General Fund Balance and the forecast levels of Earmarked Reserves for 2026/27 in **Appendix T**.

2.27. Agree that the Section 151 Officer in consultation with the Lead Member for Finance and Resources be authorised if necessary to make revisions to the 2026/27 Budget relating to any other funding announcements made after Cabinet has agreed the Council recommendations, subject to this not impacting on the recommended 2026/27 Council Tax increase.

2.28. Note the Council Tax Scenarios and the impact on the Budget Gap in each year as in **Appendix S**.

2.29. Agree the Chief Officers' Policy Statement as in **Appendix U**.

3. Background

3.1. This report follows the approval of the draft 2026/27 Budget proposals, for the purposes of engagement, in a report to Cabinet in January 2025. That report set out in detail the budget proposals regarding savings and growth as well as all income assumptions, which resulted in a Balanced Budget being proposed for 2026/27, without recourse to Exceptional Financial Support (EFS). This report updates those proposals, detailing all changes being made to those proposals.

3.2. This report also follows the presentation of the Housing Revenue Account Business plan to Cabinet in December 2025, and a Housing Revenue Account Budget Setting report to Cabinet earlier on this same agenda.

3.3. Fair Funding Review

3.4. The draft 2026/27 Budget report described how there has been a major change in government funding figures since the government responded through its '*Local government finance policy statement 2026-27 to 2028-29*' published 20 November 2025, to the Fair Funding 2.0 Review consultation; and the subsequent release of its provisional funding figures for 2026/27 on the 17 December 2025. These figures have been confirmed by the Final Local Government Finance Settlement announced 9 February 2026, with only a relatively minor adjustment which is explained further down in this report.

3.5. Under its Fair Funding 2.0 approach, the government is allocating resources to local councils based on a series of formula, all of which are calculated from appropriate data sources.

3.6. In summary, the main changes made by government between what was originally consulted on and the formal response to that consultation, relate to how the government will:

- Use the most up to date population data available, rather than relying on Census data taken during the Covid-19 pandemic;
- Update the Index of Multiple Deprivation (IMD) data so that deprivation is central to government grant allocations, including the cost of Housing; and
- Update the Children's element of the funding formula so that it uses the most up to date Income Deprivation Affecting Children Index (IDACI) data.

3.7. Modelling from London Councils shows how these changes will impact London Boroughs, with the London Borough of Newham now scoring over 50% more highly on the update IMD deprivation data than previously, and over 80% more highly on the IDACI data than previously – see Charts 1 and 2 below.

Chart 1: London Councils analysis on IMD data changes

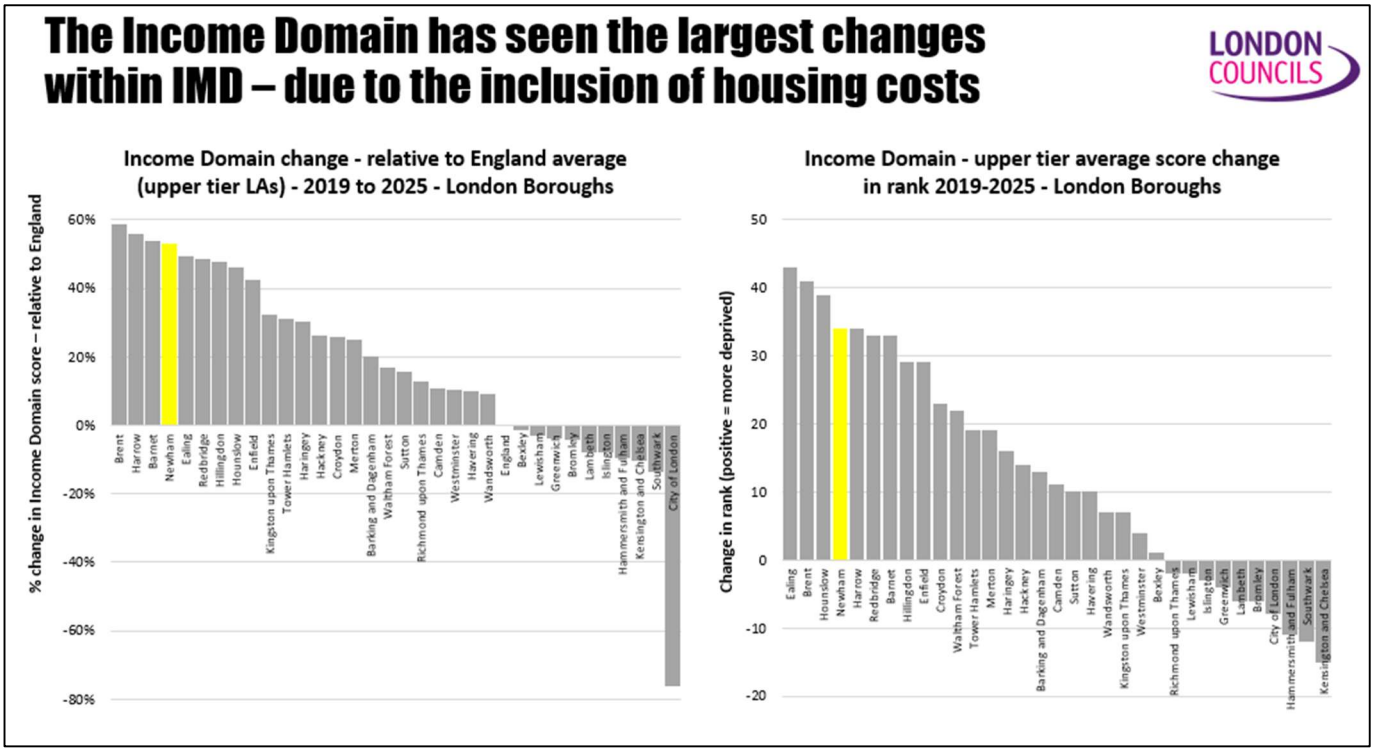
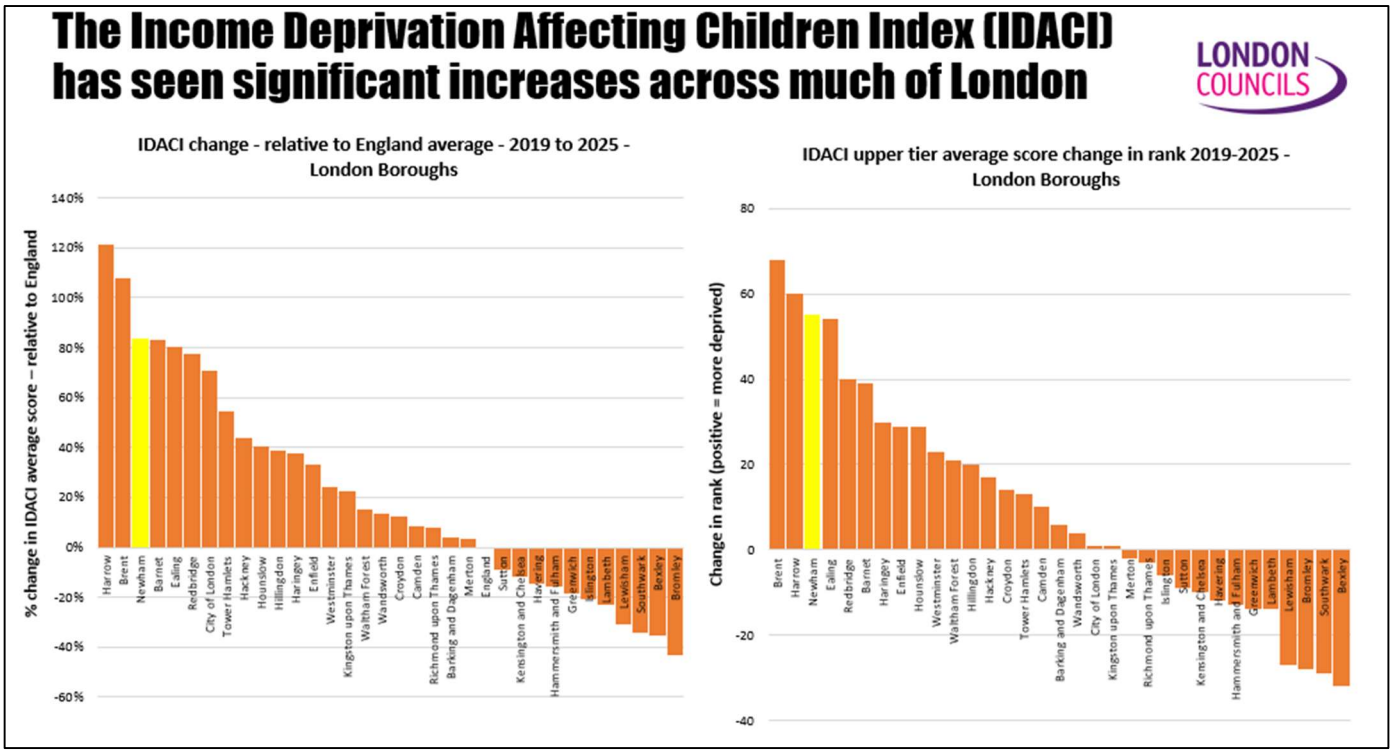


Chart 2: London Councils analysis of IDACI data changes



3.8. These changes significantly increase the amount of funding directed to Newham under the Fair Funding 2.0 formula, with allocations increasing over the next three years as transitional arrangements to direct funding to where it is needed most take effect.

3.9. The government also confirmed in its November policy statement that:

- Fairer Funding will be a three-year settlement, which will provide multi-year certainty.
- The reforms distribute funding to better reflect need and therefore demand on councils.
- There will be consolidation of grants into fewer funding 'pots' and ringfence arrangements will be reduced allowing councils greater flexibility.

3.10. The above arrangements have been confirmed by the Final Local Government Finance Settlement. There has been an increase in funding of £0.500m in 2026/27 and £0.250m in 2027/28 when compared to the Provisional Local Government Finance Settlement

3.11. **Financial Pressures**

3.12. The budget is set against a background of financial pressures, most of which are common to other authorities both in and outside of London. Those pressures which have been taken into account are:

3.13. **Homelessness** – The Council continues to experience high demand for the provision of temporary accommodation following the cost of living and housing crisis.

3.14. **Adult Social Care** – Increasing demographic and complexity pressures on demand and escalation of care need in Adult Social Cre.

3.15. **Children's Social Care** – Increased complexity of need driving cost increases particularly in relation to external residential care.

3.16. **Inflation** – the general rate of increase in the cost of goods and services is feeding through as pressure on Council contracts, supplies and rates of pay.

3.17. **Levies** – population growth and demographic change is driving the increases in the cost of the East London Waste Authority levy, and also the cost of paying the Newham share of Transport for London's Freedom Pass scheme.

3.18. **Internal Investment** – the council needs to invest in its transformation of operations, in the provision of data and information technology services, and in its internal control and procurement functions.

3.19. **Risks**

3.20. National and economic risks impacting the budget and Financial Strategy include the following:

3.21. **Economic growth** – The inability to attract and retain investment, stimulate local business growth, and implement economic development strategies will result in stagnant or declining economic performance, reduced employment opportunities, and diminished public revenue, ultimately impacting the quality of local public services and increased financial instability.

3.22. **Economic Risks** – Increasing costs due to inflation and demographic pressures resulting in significant savings requirements in future years. A separate provision has also been set against the risk of fluctuations in the cost of energy supply, such as has been experienced in recent years.

3.23. **Interest rates** – risks of adverse movements on rates, both in terms of borrowing and investments. The risk of a sudden rise in the rate of inflation; the latest Retail Price Index is currently at a level above the Bank of England's target of 2% per annum. Whilst inflation allocations in the budget reflect the current trends, we have seen in recent years global and macroeconomic events cause a steep increase in the rate of inflation which would feed through into higher costs of pay, supplies and services and contracts, as well as impacting the cost of borrowing to fund the Capital Programme. Whilst much of the Council's debt is fixed rate, the requirement to replace maturing loans exposes the Council to interest rate volatility.

3.24. **Pay Settlements** – An appropriate provision has been set aside to cover a pay increase in-line with that negotiated, at a national level, for 2025/26. The Chief

Officers' Pay Policy Statement is an annual document for Council to approve and sets out the arrangements for senior officer pay, this can be found in Appendix U. This provision is also set and designed to meet any additional cost of members allowances or additional cost if members are admitted during the year to the Local Government Pension Scheme (LGPS).

3.25. **Climate change and the environment** – Failure to prioritise and address climate change impacts will result in environmental degradation, public health crisis, widening social inequality and economic stability, infrastructure damage and budget pressures from emergency response costs and funding shortfalls.

3.26. Budget Risks include the following:

3.27. **Contract failure** – Due to risk of suppliers and contractors defaulting as a result of financial difficulties.

3.28. **Demographic demand** – Significant increases in demand generally for statutory and essential services put pressure on the service and may lead to increased unit costs.

3.29. **Adult Social Care** – Increasing demographic pressures on demand and escalation of care need in excess of what has been budgeted for. Complex cases can be difficult to predict and may result in increased financial pressures

3.30. **Homelessness** – In line with the national issue affecting many local authorities across the country, the Council continues to experience high demand, and there remains a risk of this demand increasing further should the national and local housing markets become even more difficult.

3.31. Specifically, there is the risk of slower than planned delivery on Temporary Accommodation demand management and cost savings measures. The budget reflects the intent to reverse the recent trajectory of spend on this important service area. This is clearly a risk to achieving a balanced outturn and is mitigated by concerted and focused management attention and the ongoing transformation of all aspects of this service.

3.32. **Children's Social Care** – Increasing levels of demand and increased complexity of need may drive further cost increases, particularly in relation to external residential care

3.33. **SEND Transport** – Increasing levels of demand and increased complexity of need may drive further cost increases in Home to School Transport.

3.34. **Budget Savings Implementation** – due to potential delay or under achievement of agreed planned savings to time, value and profile. Regarding the risk of non-delivery or slippage on MTFS savings; whilst the Council has a relatively good record of savings delivery and is currently reporting 84% as per the Quarter Three Budget Monitoring report to Cabinet, there remains the risk of slippage on achieving the projects intended to save and achieve value for

money. This is mitigated by the budget setting process itself which seeks to ensure that savings plans are robust and achievable.

3.35. **The cumulative impact of savings plans** – the increasing challenges of achieving the on-going significant budget savings to maintain levels of service provision.

3.36. **Capacity and Capability** – potential lack of skills and expertise to develop and deliver services, transformation, improvements and change.

3.37. **Capital programme** – Managing the programme to meet deadlines and within agreed budget allocations.

3.38. **Income uncertainties** – Uncertainties on collection including Council Tax, Business Rates, demand for fee paying services and Parking Enforcement Income.

3.39. **Statutory override Dedicated Schools Grant (DSG)** – The Council has a forecast opening deficit on the DSG of £8.729m in 2026/27. Although the government have recently announced that the majority of DSG deficits will be centrally funded, the Council awaits details on how this announcement will work.

3.40. **Tax changes** – Any change to tax including, for example, the landfill tax.

3.41. **Cyber Attack** – The risk of a cyber attack or other extreme event which adversely affects the council's operations, and results in additional costs in order to safeguard the provision of Council services. Measures to mitigate the risk of cyber attacks are constantly being employed and developed by the Council's Digital and Data Technology service.

3.42. **Council Owned Companies and Commercial Ventures** – Financial impacts from economic and operational changes that have financial impacts on the Council.

3.43. **School Closure** - The risk of the Council's General Fund having to cover the cost of school closures as the borough's pupil numbers continue to fall, where schools have to close any deficit on the school's budget will be covered by the General Fund.

3.44. Effective risk management can reduce the call on reserves and the need to hold them, but there will always be a need for reserves and contingencies in local authority finances because some things are inherently uncertain and defy risk management interventions. The MTFS includes the consideration of the requirement for contingencies and reserves to manage risks should they materialise.

3.45. Directorates will be expected to take all reasonable action to mitigate the pressures and risks that may emerge during the financial year 2026/27 that are in excess to their Budget allocations. There has been a Contingency Budget of

£10.000m included in the Budget. This has been provided in the event that Directorate and organisational corporate actions prove to be insufficient.

3.46. In that event, the Contingency Budget would be available corporately to absorb the costs in year 2026/27. Therefore enabling the Useable Reserves to be preserved at their planned level in the MTFS.

4. Final Budget Setting

4.1. Income Streams

4.2. The Council's income is made up of a range of grants received from Government together with council tax for which levels are controlled by Government and business rates income which is subject to a nationally controlled income distribution system.

4.3. The Government published the Provisional Local Government Finance Settlement (PLGFS) on 17 December 2025. This was the first year of a three-year settlement which reallocate resources by implementing the Fair Funding Review.

4.4. The Government published the Final LGFS 9 February 2026, with £0.500m additional funding confirmed for 2026/27 and £0.250m confirmed for 2027/28. This funding will be held corporately.

4.5. The impact of the Fair Funding Review is significant. According to the PLGFS Newham will, by 2028/29 attract £123.979m more per year than the baseline of 2025/26. Section 3 set out the main changes in funding allocation that have impacted Newham, namely updated population and income deprivation data being used in the formulae.

4.6. The Fair Funding Review consolidates a number of grants into the Council's funding assessment; this includes the Local Authority Better Care Fund Grant (LABCG).

4.7. The detail of the PLGFS for Newham is shown in the tables below, with rebased 2025/26 figures shown for comparison.

Table 1 – Provisional Local Government Funding Settlement Figures

	Baselined 2025/26 £m	2026/27 £m	2027/28 £m	2028/29 £m
Fair Funding Assessment: baseline funding level* NNDR	145.821	197.646	202.180	206.259
Fair Funding Assessment: Revenue Support Grant	145.138	133.607	191.743	229.173
Fair Funding Assessment: LABCG top slice	21.210	21.210	-	-
Consolidated Homelessness, Rough Sleeping and Domestic Abuse Grant	13.036	12.339	11.724	10.494
Consolidated Children, Families and Youth Grant (portion within Core Spending Power)	4.735	9.358	9.358	7.993
Recovery Grant	11.012	11.012	11.012	11.012
Total	**340.951**	**385.172**	**426.017**	**464.931**
Increase on Prior Year		**44.221**	**40.845**	**38.914**
% increase		**13%**	**11%**	**9%**
Cumulative Increase		**44.072**	**85.066**	**123.979**

** 2025/26 is equal to budgeted NNDR, not the PLGFS estimate.*

4.8. Business Rates income budgeted for 2026/27 totals £197.646m, as per the Fair Funding Formula tables above.

4.9. **Core Spending Power**

4.10. The government's preferred measure of local authority funding is what it terms 'Core Spending Power' (CSP). This differs slightly to income budgets due to government calculation estimates on Council Tax base and NNDR but remains a useful tool to assess how a Council's funding compares to others and has changed over time. The tables below show that Newham's (CSP) not only increases from the 2025/26 baseline by 13% in 2026/27, but it is also then forecast to increase by a further 10% and 9% year on year in 2027/28 and 2028/29 respectively. This is the three year period that it will take for Fair Funding to be fully implemented.

Table 2 – Newham's Core Spending Power

		2025/26 £m	2026/27 £m	2027/28 £m	2028/29 £m
Council Tax	Council Tax requirement (excluding parish precepts)	126.4	137.6	149.7	162.8
New FFR - FFA	Baseline Funding Level	-	197.646	202.180	206.259
	Revenue Support Grant	-	133.607	191.743	229.173
	Local Authority Better Care Grant	21.2	21.210	-	-
New FFR	Homelessness, Rough Sleeping and Domestic Abuse	13.0	12.339	11.724	10.494
	Families First Partnership (within Children, Families and Youth Grant)	4.7	9.358	9.358	7.993
Revised for FFR	Legacy Business Rates	168.7			
	Legacy Grant Funding	105.4			
	Grants rolled in to RSG (new grants)	12.3			
Un-ringfenced Grants	Recovery Grant	11.0	11.012	11.012	11.012
	Total Core Spending Power	462.8	522.7	575.7	627.7
	Annual change in cash-terms CSP	**12.7%**	**13.0%**	**10.1%**	**9.0%**

4.11. The next table shows CSP on a per capita basis in Newham, adjusted for inflation to provide a real comparison it shows the annual change in funding per person in 2026/27 is 11.2%. Note though that when compared to 2010/11 levels CSP per person is 22.5% lower (in real terms) than it was in that year.

Table 3 – Core Spending Power per Capita in Newham

CSP - in real terms	2025/26	2026/27	2027/28	2028/29
Core Spending Power - real terms (£m)	**£ 442**	**£ 491**	**£ 529**	**£ 566**
Real terms CSP per capita (£)	**£ 1,143**	**£ 1,271**	**£ 1,372**	**£ 1,465**
Annual change in real-terms CSP per capita	**9.5%**	**11.2%**	**8.0%**	**6.8%**
Cumulative change in real-terms CSP per capita	**-30.3%**	**-22.5%**	**-16.3%**	**-10.6%**

4.12. Council Tax rates are set out in more detail in **Section 14**. In total Council Tax income will rise by £11.018m under this proposed budget. This is made up of increases in the number of homes in the borough, known as the Council Tax base, the reduction in support in the Council Tax Reduction Scheme, and the proposed increase of 4.99% Council Tax made up of 2.99% for General Council Tax, and 2.00% for the Adult Social Care Precept. A breakdown is provided below.

Table 4 – Council Tax Income changes

	£m
Council Tax Income 2025/26	126.438
Plus; increase of 2,036 homes in the borough (CT Base)	2.821
Changes to Council Tax Reduction Scheme	1.570
4.99% increase to Council Tax	6.448
Council Tax Income 2026/27	**137.496**

4.13. Other changes to income; the £3.2m packaging Extended Producer Responsibility (pEPR) scheme. This is a new scheme designed to shift the financial and physical responsibility of managing packaging waste from taxpayers to producers. Under this scheme, producers of packaging waste are required to fund the full cost of collecting, sorting, treating, and recycling packaging waste. Local authorities will receive payments to contribute to the net costs of managing household packaging waste. The allocation for Newham in 2026/27 is £3.200m.

4.14. The budget also accounts for an increase of £3.000m in Penalty Charge Notice income, which reflects the Transport for London increases to these charge notices in April 2025 (the first increases since 2011).

4.15. **Total Net Revenue Stream**

4.16. Table 5 sets out the net revenue stream for the five year MTFS period, with 2025/26 as a rebased baseline.

Table 5 – Net Revenue Stream – General Fund

Funding Stream	2025/26 £m	2026/27 £m	2027/28 £m	2028/29 £m	2029/30 £m	2030/31 £m
Fair Funding settlement - Grants	(129.077)	(188.025)	(224.087)	(258.671)	(267.371)	(276.271)
Fair Funding Settlement - Business Rates, S31 grants, and Business Rate Top up	(173.455)	(197.646)	(202.180)	(206.243)	(206.243)	(206.243)
Recovery Grant	(11.012)	-	-	-	-	-
Council Tax	(126.438)	(137.456)	(137.456)	(148.415)	(160.261)	(163.261)
Assumed increases in Council Tax set out in the MTFS	-	-	(6.859)	(7.406)	-	-
Assumed future increase in Council Tax Base	-	-	(4.100)	(4.440)	(3.000)	(3.000)
Deficit on Collection Fund	-	2.230	-	-	-	-
Sub-Total	**(439.982)**	**(520.897)**	**(574.682)**	**(625.175)**	**(636.875)**	**(648.775)**
Add Grants included in FFR form 2026/27 onwards	(27.352)					
	(467.334)	**(520.897)**	**(574.682)**	**(625.175)**	**(636.875)**	**(648.775)**
Increase on Prior Year		**(53.449)**	**(53.785)**	**(50.493)**	**(11.700)**	**(11.900)**
Cumulative Increase		**(53.449)**	**(107.234)**	**(157.727)**	**(169.427)**	**(181.327)**

4.17. The draft budget report was prepared with the PLGFS figures for the next three years. This report updates the MTFS with the Final Local Government Finance Settlement, and an initial projection for the following two years, making it a five year MTFS. In the table above the increases to income slow down after the transition to Fair Funding has taken place, and thereafter the MTFS has been expanded to only account for 2% inflationary increases to income, and for continued modest growth to the Council Tax Base.

4.18. In addition to expanding the MTFS to 5 years, this report introduces other changes to the Draft Budget Report, and these are explained in the section below, followed by summary tables for all budgetary growth and the savings required to balance the budget.

4.19. **Proposed Changes to the Draft Budget Report**

4.20. The Provisional Local Government Finance Settlement (PLGFS) was published on the 17 December 2025, and the Draft Budget report was published shortly thereafter. In view of the short turn around between these dates, it has been imperative that during the period between the draft and this final budget report being published, that the financial plans are subjected to extensive checks and review.

4.21. This has been conducted by Portfolio Leads, Directorate Management Teams, the Finance service, and also by the Budget Scrutiny Commission. The rigour and challenge that the scrutiny process and other reviews have brought has helped identify amendments to the draft budget, and these are detailed in the table below.

4.22. Changes to the General Fund budgets are detailed in **Appendix I** which provides full budget tables. The table below shows the changes to the draft budget for 2026/27 only.

Table 6 – Proposed Changes to the Draft Budget Report

5 Year Medium Term Financial Strategy	2026/27	2027/28	2028/29	2029/30	2030/31
	£m	£m	£m	£m	£m
Draft Budget Report Position	-	(13.535)	(1.844)	-	-
Adjustments to Capital Financing to reflect Proposed Capital Programme	(4.100)	-	1.018	1.013	1.988
Update income from grants following PLGFS reconciliation	(3.000)	3.000	-	-	-
New Savings	(0.700)	-	-	-	-
Update Acquisitions budgets to match Model numbers	(0.908)	(0.329)	-	-	-
Reserves Adjustment	(0.161)	0.161			
All other Savings Adjustments	0.803	(0.720)	(0.750)	-	-
New Growth	1.300	0.250	-	-	-
Reverse Collection Fund Reserve drawdown of £4m	4.000	-	-	-	-
Reverse reversal of collections fund reserve £4m (this was in previous MTFS)	-	(4.000)	-	-	-
Revision of Council tax increase estimates	-	0.177	0.177	-	-
FLGFS Income Adjustment	(0.500)	0.250	0.250	-	-
FLGFS Adjustment to be held centrally	0.500	(0.250)		-	-
Increase Contingency to 2% (£10m in 2026/27)	1.858	0.079	-	-	-
Inflation for years 4 and 5				12.000	12.500
Temporary Accommodation for years 4 and 5				20.480	17.933
Demographic Pressure for years 4 and 5				9.500	10.000
2% increase on government grants				(8.700)	(8.900)
Moderate growth in the Council Tax Base				(3.000)	(3.000)
Final Budget Report Position	**-**	**(14.588)**	**(1.149)**	**31.293**	**30.521**
Transfer to/(from) Reserves 2027/28		14.588	(14.588)	-	-
Transfer to/(from) Reserves 2028/29			15.737	(15.737)	-
MTFS Incremental GAP	**-**	**-**	**-**	**15.556**	**30.521**
MTFS Cumulative GAP	**-**	**-**	**-**	**15.556**	**46.077**

4.23. **Changes to Savings; Appendix L (i), (ii) and (iii)** contain full details on savings, but in summary the changes made since the draft budget are;

- A £4.100m saving on Capital Financing costs now that the capital investment strategy has been prepared. Capital investment has been limited to £119.000m in 2026/27 as opposed to the indicative £140.000m used for the draft budget workings. Additionally, the capital programme has been reprofiled, making it more realistic and contributing to the £4.100m saving. Note that these revenue costs have been reprofiled into later years.

- There is a new saving on Temporary Accommodation relating to the proposed tenure change of 41 units soon to be completed by the council on the Greenhills and Burgoyne's estates. These units will no longer be sold for Shared Ownership but will instead be utilised for discharging clients currently in Temporary Accommodation which will save £0.700m per annum.

- Budgets will also be amended to reflect the financial models for each of the acquisitions blocks that the council has purchased, bringing each of those budgets into line with the Cabinet approved position for 2026/27. This totals £0.908m income.

- Saving S106 Children's saving of £0.750m (reference CYPS:26-27:010 has been reversed following review of the draft budget, as the funding it relied upon is being used to support eligible expenditure elsewhere.

- The voluntary sector £0.100m saving (reference RES: 25-26:008/B1) in 2026/27 has been removed.

- The Children's Centre saving (reference CYPS: 26-27:007) has been partially reprofiled back a year, with £0.700m saving moved into 2027/28.

- The element of the Libraries saving (reference C&I: 25-26:007/B15) which related to staffing savings has been reversed, this was worth £0.161m in 2026/27 and £0.309m in 2027/28. The planned reserves contribution has been adjusted to balance this.

4.24. **Changes to Growth; Appendix** N lists all growth, the new additions to this since the draft report are for;

- Growth of £0.250m to fulfil CQC recommendations following their assessment of Adult Social Care and so improve those services.

- Growth of £0.750m to invest in and improve the Council's procurement service and achieve greater value for money.

- Growth of £0.300m to invest in the Internal Audit function of the council and enable a full review of internal controls.

4.25. **Other changes necessary to update the budget;**

- £3.000m adjustment to government income following full reconciliation of the Provisional Local Government Finance Settlement. A further £0.500m income has been recognised following FLGFS, with the corresponding expenditure budget to be held corporately.

- A £4.000m reversal of the planned contribution which was to be taken from the earmarked collection fund reserve, made possible by the increased savings and income adjustment listed above. Note that the full review of reserves is discussed at **Section 17** and shown at **Appendix T**.

- A £1.858m contribution to the Contingency budget so that it's increased £10.000m for 2026/27, which is equal to 2% of the Net Revenue Budget.

- The planned contributions to the General Fund Balance has been reduced to compensate for the Libraries saving partial reversal. Note that it has still been possible to get the General Fund Balance to at least 10% of the Net Revenue Stream in every year of the MTFS following the Reserves Review.

- Other updates made to future year Council Tax estimates and reserve contributions to balance the total adjustments.

4.26. **Section 25 Statement – the report on the robustness of the Budget estimates and the adequacy of reserves**

4.27. The Section 25 report in **Appendix A** is a statutory requirement made under section 25 of the Local Government Act 2003, which requires the Section 151 Officer to report on the report on the robustness of the estimates and the adequacy of reserves to Council Members when agreeing its annual budget and Council Tax levels.

4.28. Council must have regard to this report when making its decisions around the annual budget and the level of Council Tax for 2026/27 in accordance with section 31A of the Local Government Finance Act 1992.

4.29. For Members of the Council the Section 25 report provides critical context for budgetary discussions in relation to the entire suite of the 2026/27 General Fund Revenue Budget and MTFS, including Capital and Treasury Management Strategy and HRA reports on this agenda setting the 2026/27 Council Tax. The provision of this information is a legal requirement and ensures that all Members

have regard to the professional advice provided by the Section 151 Officer when final Budget decisions are made being made.

4.30. For context, the 2025/26 Balanced Budget was only able to be set following a successful application for Exceptional Financial Support (EFS) to underpin the budget, allowing the Council to fund revenue costs through the generation of Capital Receipts from sale of Assets. This course of action was not considered a sustainable strategy, but rather a temporary measure to provide breathing room to assess the impact of the governments Fair Funding Review and the development of robust savings including transformational service delivery plans to cut costs

4.31. The proposed 2026/27 Budget enables the Council to emerge from the EFS regime as a result of significant additional savings and increased funding from the governments Fair Funding Review, in part as a result of greater recognition within the funding formula for deprivation levels in the borough, whilst at the same time focusing on increasing efficiency and transforming delivery across the Council thereby setting a Balanced Budget without EFS support.

4.32. There are risks identified that will need to be mitigated should they arise within the Budget. The Budget relies on all Savings including Transformation savings delivering to time, value and profile.

4.33. The Council still plans to take advantage of a general dispensation available to all Local Authorities to use Flexible Use of Capital Receipts to fund Transformation activity as this will play a key role in enabling activity with one cost that will deliver sustainable cost reductions and savings in the medium term. The key to managing significant savings delivery is a robust financial management and monitoring framework to identify and inform management action to mitigate any implantation problems, underpinned by the Corporate Contingency of £10.000m provision of an appropriate level of reserves to help mitigate.

4.34. The Council has implemented a strong financial management framework to ensure Budgets are fit for purpose as much as possible within the financial envelope, adapt service delivery to efficiently and effectively manage cost and demand pressures and closely monitor day to day expenditure, and drive delivery of savings. The in year 2025/26 position as at Quarter 3 (Month 8) showed a forecast underspend of £8.200m, which was an increase to the of £4.700m since Quarter 2 (Month 5). The main variances to budgets were due to improved pricing negotiations in Temporary Accommodation and containment of risks across the Council thereby minimising use of corporate Contingency Budgets. Despite this the Council does still face continued pressures resulting in overspends such as high cost care packages in Adult Social Care, increasing demand for Schools Transport in CYPS and slippage on delivery of agreed savings.

4.35. Newham, like many Local Authorities has faced increased demand for services for pupils with Special Educational Needs and Disabilities (SEND). The Government introduced a statutory override that requires local authority DSG deficits to be ringfenced from the General Fund reserves. The statutory override is due to expire on 31 March 2028, at the time of writing the government has announced plans to fund the majority of Councils' DSG deficits and a white paper is awaited.

4.36. The Council has a forecast opening deficit on the DSG of £8.729m in 2026/27. Although the statutory override preventing Council's from recognising this loss remains in place for now, and the Council understands that a significant proportion of this deficit will be funded by central government subject to the white paper referenced above.

4.37. The Council's overall financial position has significantly improved and has been able to present setting a Balanced Sustainable Budget for 3 years – 2026/27, 2027/28 and 2028/29. **The Council has addressed Financial Sustainability in the 2026/27 Budget and MTFS**. It demonstrates that it is a financially viable organisation, not just for 2026/27 but for the first 3 years in the MTFS.

4.38. **The Council has also addressed Financial Resilience** in this year as the report includes the results of a review of reserves conducted by the Section 151 officer, of all Earmarked Reserves, and this shows the consolidation of reserves, increasing General Fund Balance, the introduction of a new Transformation Reserve, and new Business Risk Reserve, which will help manage the financial risks the Council faces.

4.39. The Councils Reserves are key to Financial Resilience and Sustainability, enabling the Council to absorb significant shocks such as those presented by the pandemic and the housing crisis, as well as smaller fluctuations in the Councils operational and financial landscape. This Budget seeks to ensure that General Fund Balance (unallocated) increase to an appropriate level recommended by the Section 151 Officer to be 10% of Net Revenue Budget over the medium term. **The Section 151 Officer considers that subject to the approval of these plans, the level of Reserves for 2026/27 are adequate**.

4.40. The Section 151 Officer considers that overall, the proposals in this report, including; the reliance upon delivery of a £89.812m programme of savings; the dispensation to utilise up to £15.203m of capital receipts to fund Transformation; and the proposed increase in Council Tax of 4.99%, **represent a robust Budget for 2026/27 with adequate reserves.**

5. Building out the MTFS to 5 years

5.1. Appendix R(i) shows the MTFS over a five year period whereas previously it has been forecast for a three year period. The approach taken for years four and five has been to make broad assumptions and estimates (listed below), and these will be refined in future versions of the MTFS.

5.2. Beyond the core MTFS period, the Council has modelled a set of broad, high-level financial assumptions for 2029/30 and 2030/31. These assumptions are intended to provide an indication of the potential scale of financial pressures facing the Council in the later years of the plan and should be regarded as illustrative planning assumptions rather than detailed forecasts.

5.3. Inflationary pressures are assumed to continue into the later years, adding £12.000m in 2029/30 and £12.500m in 2030/31. This reflects the ongoing impact of contract inflation, service cost growth and residual price pressures, even where national inflation is expected to moderate over the medium term.

5.4. Temporary Accommodation (TA) remains the most significant driver of cost pressures in the later years of the plan. Additional pressures of £20.500m in 2029/30 and £17.900m in 2030/31 have been assumed. While the profile assumes some reduction in growth by 2030/31, TA costs remain highly sensitive to demand levels, market rents and wider housing market conditions.

5.5. Demographic and demand-led pressures across statutory services are assumed to add a further £9.500m in 2029/30 and £10.000m in 2030/31, reflecting population growth, increasing complexity of need and cost pressures in key demand-led services.

5.6. These pressures are partially offset by assumed improvements in funding and local income. Government income is assumed to increase by £8.700m in 2029/30 and £8.900m in 2030/31, while growth in the Council Tax Base is assumed to generate additional income of £3.000m per annum in each year.

6. Savings

6.1. **Appendix M** provides a list of all savings measures proposed in this budget for 2026/27 and for the next two years of the MTFS. A departmental summary of savings measures for 2026/27 is provided below.

Table 7 – 2026/27 Savings by Directorate

Directorate	Efficiency £m	Income Generation £m	Service Reduction £m	Trans-formation £m	Total £m
Adults & Health	(2.100)	-	-	(9.634)	**(11.734)**
Change & Improvement	(0.480)	(0.045)	(0.534)	(0.271)	**(1.330)**
Children & Young People	(2.519)	-	(0.618)	(4.096)	**(7.233)**
Environment & Sustainable Transport	-	(0.874)	-	(0.649)	**(1.523)**
Inclusive Economy & Housing	(17.105)	-	(0.200)	(9.353)	**(26.658)**
Resources	(3.500)	-	-	(0.236)	**(3.736)**
Cross Cutting	-	-	-	(1.963)	**(1.963)**
Corporate Budgets	-	-	(1.570)	-	**(1.570)**
Total	**(25.704)**	**(0.919)**	**(2.922)**	**(26.202)**	**(55.747)**

Table 8 – Savings by type over the MTFS

Savings Type	2026/27 £m	2027/28 £m	2028/29 £m	2029/30 £m	2030/31 £m	Total £m
Efficiency	(25.704)	(4.379)	(0.015)	-	-	**(30.098)**
Income Generation	(0.919)	(1.545)	(0.500)	-	-	**(2.964)**
Service Reduction	(2.922)	(0.087)	(0.543)	-	-	**(3.552)**
Transformation	(26.202)	(18.270)	(8.726)	-	-	**(53.198)**
Grand Total	**(55.747)**	**(24.281)**	**(9.784)**	**-**	**-**	**(89.812)**

6.2. The tables above and below show that £55.747m of savings are proposed for 2026/27 out of a total £89.812 over the three year period

6.3. **Appendix L(i)** lists and describes all MTFS savings which have been introduced as part of the 2026/27 budget setting. It includes full details for those savings measures that are either newly introduced since the draft budget report, or which have been amended since the draft budget report. Full details on the other savings are listed in the draft budget report and are not repeated here.

6.4. **Appendix L(ii)** lists and describes all MTFS savings introduced prior to the 2026/27 budget setting process. This shows where amendments have been made such as consolidation into the Transformation programme.

6.5. **Appendix L(iii)** provides a focussed look at the Transformation savings included within the savings programme and which now total £26.988m. It shows how these savings have been amended, distributed and reprofiled across the Council.

6.6. **Appendix M** provides a complete list of all savings in the MTFS period 2026/27 to 2028/29 totalling £89.812m, summarised in the table below.

Table 9 – All Savings in the Medium Term Financial Strategy by Directorate

Directorate	2026/27 Savings £m	2027/28 Savings £m	2028/29 Savings £m	2029/30 Savings £m	2030/31 Savings £m	Total Savings £m
Adults & Health	(11.734)	(7.010)	(5.920)	-	-	**(24.664)**
Change & Improvement	(1.330)	(0.122)	-	-	-	**(1.452)**
Children &Young People	(7.233)	(3.014)	(1.950)	-	-	**(12.197)**
Environment &Sustainable Transport	(1.523)	(1.655)	(0.899)	-	-	**(4.077)**
Inclusive Economy & Housing	(26.658)	(3.257)	(1.015)	-	-	**(30.930)**
Resources	(3.736)	(0.417)	-	-	-	**(4.153)**
Cross Cutting	(1.963)	(8.806)	-	-	-	**(10.769)**
Corporate Budgets	(1.570)	-	-	-	-	**(1.570)**
Total	**(55.747)**	**(24.281)**	**(9.784)**	**-**	**-**	**(89.812)**

7. Budgetary Growth

7.1. **Appendix N** provides a table of all growth allocated in this proposed budget for 2026/27 and for the next two years of the MTFS. A departmental summary of budgetary growth for 2026/27 and the MTFS is provided below.

Table 10 – 2026/27 Budgetary Growth by Directorate

Directorate	Demographic/Base Increase £m	Inflation £m	Investing In Service £m	Other £m	Previously Agreed Multi-Year Growth £m	Temporary Accommodation £m	Total £m
Adults & Health	11.260	4.630	0.500	-	-	-	**16.390**
Change & Improvement	-	-	1.000	-	-	-	**1.000**
Children & Young People	2.080	-	-	-	-	-	**2.080**
Environment & Sustainable Transport	1.280	-	1.490	-	-	-	**2.770**
Inclusive Economy & Housing	1.200	-	0.150	1.000	-	-	**2.350**
Temporary Accommodation	3.000	-	-	-	1.100	12.800	**16.900**
Resources	0.500	-	2.750	-	-	-	**3.250**
Inflation	-	11.860	-	-	-	-	**11.860**
Corporate Budgets	0.980	-	-	2.280	-	-	**3.260**
Grand Total	**20.300**	**16.490**	**5.890**	**3.280**	**1.100**	**12.800**	**59.860**

Table 11 – MTFS Growth by Type

Type of Growth	2026/27 £m	2027/28 £m	2028/29 £m	2029/30 £m	2030/31 £m	Total £m
Demographic/Base Increase	20.300	10.030	9.010	-	-	**39.340**
Inflation	16.490	16.010	11.510	-	-	**44.010**
Investing In Service	5.890	0.450	0.440	-	-	**6.780**
Other	3.280	1.380	1.770	-	-	**6.430**
Previously Agreed Multi-Year Growth	1.100	-	-	-	-	**1.100**
Temporary Accommodation	12.800	22.300	24.300	-	-	**59.400**
Grand Total	**59.860**	**50.170**	**47.030**	**-**	**-**	**157.060**

Table 12 – MTFS Growth by Directorate

Directorate	2026/27 £m	2027/28 £m	2028/29 £m	2029/30 £m	2030/31 £m	TOTAL £m
Adults & Health	16.390	10.080	9.010	-	-	35.480
Change & Improvement	1.000	0.450	0.450	-	-	1.900
Children and Young People	2.080	1.220	1.200	-	-	4.500
Environment and Sustainable Transport	2.770	0.750	(0.010)	-	-	3.510
Inclusive Economy & Housing	2.350	-	-	-	-	2.350
Temporary Accommodation	16.900	24.000	26.000	-	-	66.900
Resources	3.250	-	-	-	-	3.250
Inflation	11.860	11.200	7.570	-	-	30.630
Corporate Budgets	3.260	2.470	2.810	-	-	8.540
Total	**59.860**	**50.170**	**47.030**	**-**	**-**	**157.060**

7.2. Growth to budgets has been allocated in order to meet the changing and growing population in Newham, to meet inflationary pressures, to invest in services areas identified as needing improvement, to provide enough growth to meet the trends in Temporary Accommodation, and in other areas identified as requiring budgetary corrections.

7.3. Budgetary growth therefore takes into account service user number data, demographic data, general and specific inflation rates observed in what the council buys.

7.4. Note that the temporary accommodation growth accounts for price and demand trajectories before adjusting for the plans to avoid costs and make savings. To explain further, the net result of the Temporary Accommodation growth and savings is a reduction to the total budget made available to the service in 2026/27.

7.5. The full list and descriptions of budgetary growth allocated in this budget are provided in **Appendix N** of this report.

8. Capital Investment Strategy

8.1. The draft budget report set out the approach to reviewing and amending the capital programme for the 2026/27 budget setting reports. This approach is summarised briefly below, and the full Capital Investment Strategy is provided as **Appendix B.**

8.2. Prospective Schemes are initially considered against the following principles which the Mayor and Cabinet previously approved as part of the MTFS in the February 2024 Budget setting reports:

- Alignment to the delivery of Building a Fairer Newham outcomes and the Local Plan, and that supports growth.
- Schemes that have a strong financial case
- Business Critical Schemes that minimise risk and enable operational efficiency (i.e. Health & Safety / ICT)
- Schemes that are ready to go and deliverable from 2025/26

8.3. For 2026/27, with regards to the financial position, including the council's debt burden, greater emphasis was then placed on:

- Schemes with a strong financial case which are effectively self-financing / can contribute towards delivery of revenue savings through a return on investment (ROI) whereby the financial benefit derived from the scheme meets or exceeds the total cost of the project including the borrowing costs over the lifetime of the asset.
- Schemes which serve a business-critical need such as Health & Safety.
- Schemes which attract external investment are also considered.

8.4. There is a key interrelationship between revenue and capital budgets which places constraints on the size of the financial envelope available to fund further capital investment without the need to find savings elsewhere in Council

budgets. A large proportion of the funding invested in capital delivery is sourced from prudential borrowing. The Council must set aside revenue budget to fund the interest and repayment of this borrowing; an illustration is given in the table below.

Table 13 – Illustrative Borrowing Costs

Charge to Revenue	5 year Asset £m	50 year Asset £m
Interest @ 5.5%	0.060	0.060
MRP*	0.200	0.020
Total	**0.260**	**0.080**

** MRP (Minimum Revenue Provision) is a charge to the revenue account that effectively spreads the cost of the borrowing over the economic life of the asset*

8.5. With funding constrained, the Council cannot afford to pursue all Capital Schemes it would like. Therefore, of any additions to the 2026/27 Budget there will be greater emphasis on prioritising those schemes which have a strong financial case and can contribute to the delivery of revenue savings to support the management of significant pressures on the revenue budget in line with the principals set out above.

8.6. With significant budgetary challenges in-year and in the years ahead covering the MTFS period, in the same way Revenue savings have been sought, the Capital programme has also been subject to critical review to identify Schemes that might be Stopped, Reduced, or Delayed.

8.7. The results of the review are included in **Appendices B** and **C (i), (ii), and (iii)**. New additions have been limited to less than what was provisionally allowed for in the draft budget, and there has been reprofiling of the capital programme to more realistically match likely spending patterns.

Table 14 – Summary of Full Capital Programme

Directorate	2025/26 Budget £m	2026/27 Budget £m	2027/28 Budget £m	2028/29 Budget £m	2029/30 Budget	2030/31 Budget £m	Total Budget £m
General Fund Capital Programme							
Adults & Public Health	13.370	19.335	6.623	12.459	18.688	18.688	**89.164**
Change and Improvement	0.362	-	-	0.025	0.038	0.038	**0.462**
Children & Young People	3.090	4.966	0.348	0.033	0.050	0.050	**8.538**
Environment & Sustainable Transport	40.334	21.344	7.097	5.069	7.604	7.604	**89.051**
Inclusive Economy & Housing	61.184	163.294	152.168	57.421	86.131	86.131	**606.329**
Populo	19.239	64.660	150.539	23.843	35.764	35.764	**329.810**
Resources	6.550	0.931	1.005	0.297	0.446	0.446	**9.675**
Schools (Capital)	33.491	4.856	10.001	0.659	0.989	0.989	**50.985**
Total General Fund Exc Corporate	**177.620**	**279.386**	**327.781**	**99.807**	**149.710**	**149.710**	**1184.014**
Corporate	0.777	13.591	127.592	350.681	526.021	526.021	**1544.682**
Total General Fund Capital Programme	**178.397**	**292.977**	**455.373**	**450.487**	**675.731**	**675.731**	**2728.696**
HRA Capital Programme							
Housing Revenue Account	211.639	201.645	189.405	173.167	107.172	81.674	964.703
Total Planned Capital Expenditure	**390.036**	**494.622**	**644.778**	**623.654**	**782.903**	**757.405**	**3693.399**

Table 15 – Summary of New Capital Schemes

Directorates	Category	Project Title	Programme	Total Capital £m
Adults & Heath	Invest to Save	Acquisition of Long Term Accommodation Facilities	Newham Living	12.000
Adults & Heath Total				**12.000**
Children and Young People	Business Critical	Children's Social Care System Replacement	Operations & Safeguarding	4.000
Children and Young People Total				**4.000**
Environment and Sustainable Transport	Self Financing	Digitalisation of Passenger Transport	Business System Developments	0.100
Environment and Sustainable Transport	Business Critical	Martyn's Law Blast Resistant Litter Bin Installation	New Provision	0.075
Environment and Sustainable Transport	Business Critical	East Ham WW1 Memorial (Central Park)	Parks & Open Spaces	0.139
Environment and Sustainable Transport	Business Critical	Parks footpaths and infrastructure	Parks & Open Spaces	1.050

Directorates	Category	Project Title	Programme	Total Capital £m
Environment and Sustainable Transport	Business Critical	Keep Newham Moving Yr 12-17	Keeping Newham Moving	10.034
Environment and Sustainable Transport	Invest to Save	Burial Provision	Asset Investment - Stock	0.750
Environment and Sustainable Transport	Business Critical	Health & Safety of Physical Activity & Play Infrastructure	Leisure	1.000
Environment and Sustainable Transport Total				**13.148**
Inclusive Economy & Housing	Self Financing	Residential Acquisitions	Acquisitions Programme	75.000
Inclusive Economy & Housing	Invest to Save	Commercial Property Improvements	Asset Investment	3.600
Inclusive Economy & Housing	Invest to Save	Corporate Property Improvements	Asset Investment - Stock	4.500
Inclusive Economy & Housing	Business Critical	Leisure Centres Capital Programme	Asset Investment - Stock	1.000
Inclusive Economy & Housing	Business Critical	Thames River Wall Flood Defences	Asset Investment	2.000
Inclusive Economy & Housing	Invest to Save	Victoria Street	Housing General Fund	3.000
Inclusive Economy & Housing Total				**89.100**
Total General Fund Capital				**118.248**
Housing Revenue Account	Invest to Save	AHfN - Greenhill and Burgoyne Centre E12	Affordable Homes New Build	4.456
Housing Revenue Account Total				**4.456**
Total Additions				**122.704**

8.8. In addition to the Capital Investment Strategy and Programme presented in **Appendices B** and **C**, this report also provides;

- the Treasury Management Strategy (**Appendix E**), which Prudential Indicators (**E(i)**);
- the Minimum Revenue Policy (**E(iii)**), which sets out how the Council make arrangements to charge the redemption of debt to Council Tax;
- the Non-Treasury Investment Strategy for 2026/27 (**Appendix F**) which outlines how service based and commercial investments are to be managed.

8.9. The Prudential Indicators include affordability metrics to assess the affordability of the capital investment plans. Table 16 of the appendix gives the ratio of General Fund Financing Costs to Net revenue and is also shown below.

Table 16 – Ratio of General Fund Financing Costs to Net Revenue Stream

	2024/25 Actual %	2025/26 TMSS %	2025/26 Forecast %	2026/27 Forecast %	2027/28 Forecast %	2028/29 Forecast %	2029/30 Forecast %	2030/31 Forecast %
General Fund	18.62	25.32	16.03	17.18	19.41	21.59	26.33	32.45

8.10. **Community Infrastructure Levy (CIL)**

8.11. The list was discussed in the draft budget report. For reference and clarity, it is reproduced below. It is unchanged from previous years for 2026/27.

Table 17 – CIL Infrastructure List

Provision, Improvement, Operation & Maintenance of:
Town centres, local centres and employment use; civic uses and community facilities
Public Realm – including walking and cycling initiatives which connect social and green infrastructure to our residents
Newham's parks, open spaces, green spaces
Play equipment; outdoor gym equipment in Newham's parks and housing areas
Newham's sports facilities
Newham's Education Facilities
Newham's Health & Social Care Facilities
Newham's Cultural Facilities
Newham's Carbon reduction initiatives and energy infrastructure e.g. District heating Schemes
Newham's Flood Defence

8.12. The types of investment made will be subject to robust governance processes and ensure that the investment made achieves corporate priorities and fulfils the Councils requirements as set out in government guidance and legislation.

9. Fees and Charges

9.1. The previous iterations of the MTFS set out a strategy of raising fees and charges by up to 10% in 2026/27 wherever possible, and the same again in 2027/28.

9.2. A review was carried out by officers, and where the council has the ability to do so and is not otherwise constrained by market conditions and income forecasts, has lifted fees and charges by the amounts set out in **Appendix F**.

9.3. This revenue raising measure is budgeted to raise an additional £1.000m for 2026/27, and £1.300m in 2027/28. The increases in the schedule raise £0.800m per annum which will count towards this saving, and other income maximisation

strategies will be employed to make the total saving. This additional income is accounted for in the Transformation Savings set out in this budget.

9.4. The review also provides assurance that budgets are aligned to and reflect realistic income expectations across all services.

10. Parking Revenue Account

10.1. The budgets that make up the Parking Revenue Account are summarised in **Appendix H** of this report. This shows the proposed total income from parking and traffic management in 2026/27 is £47.153m. This is the first year that this appendix has featured in the annual budget setting report, and it is provided for the purposes of transparency and information.

10.2. The income will fund expenditure on Parking and Traffic enforcement totalling £16.828m. **Appendix H** shows that £32.135m will be used to contribute to the Council's transport strategies. These strategies include; revenue spend on managing the highways network; maintaining the roads under the Keep Newham Moving programme; home to school transport provision; and meeting the cost of Transport for London Freedom Passes.

11. Budget Engagement

11.1. Engagement on the budget options and proposals followed the October Finance Review report received by Cabinet in October 2025. It continued through to the end of January 2026. The Budget Engagement Report appended to this report describes the activity and findings of all the engagement activity. See **Appendix K.**

12. Budget Summary

12.1. **Appendix I** provides full Budget tables for the 2026/27 financial year. These are summarised below with the movement from the 2025/26 financial year set out.

Table 18 – 2026/27 General Fund Budget

General Fund Directorate Budgets	Base Budget 2025/26	Saving 2026/27	Growth 2026/27	Financing 2026/27	Original Budget 2026/27	Total Changes from prior year
	£m	£m	£m	£m	£m	£m
Adults & Health	134.278	(11.729)	16.390	2.190	**141.129**	6.851
Change & Improvement	15.131	(1.582)	1.058	-	**14.607**	(0.524)
Children & Young People Services	131.694	(8.255)	4.829	3.810	**132.078**	0.384
Environment & Sustainable Transport	22.397	(2.907)	3.633	(3.000)	**20.123**	(2.274)
Inclusive Economy & Housing	88.613	(22.971)	16.123	11.953	**93.717**	5.104
Legal & Governance	4.632	(0.153)	0.014	-	**4.493**	(0.139)
Resources	30.211	(1.306)	7.554	8.291	**44.749**	14.538
Total Service budgets	**426.956**	**(48.904)**	**49.600**	**23.244**	**450.896**	**23.940**
Contingency	7.592	-	0.550	1.858	**10.000**	2.408
Other Corporate Budgets	61.858	(5.273)	9.710	3.990	**70.284**	8.426
Corporate Budgets	**69.449**	**(5.273)**	**10.260**	**5.848**	**80.284**	**10.835**
Total Service Budget including Contingency and other Corporate Budgets	**496.405**	**(54.177)**	**59.860**	**29.092**	**531.180**	**34.775**
Additional Revenue Financing and Capital Receipts	**(56.423)**	**-**	**-**	**46.140**	**(10.283)**	**46.140**
Net Budget Requirement	**439.982**	**(54.177)**	**59.860**	**75.232**	**520.897**	**80.915**

13. Grants

13.1. **Appendix P** sets out those grants which are budgeted for within service budgets, and those which are taken centrally to fund the net cost of services.

13.2. Note that under the Fair Funding Review, there has been consolidation of a number of smaller grants into central funding streams. Consequently £27.352m of grants accounted for by services in 2025/26 are now accounted for in the central funding budgets. This budget movement has a 'net nil' effect, with no reduction to service spending power.

13.3. The budgets proposed are based on the allocations announced at the time of the Final Local Government Finance Settlement and will be updated in due course if there are any further adjustments (as per recommendation in paragraph 2.8 above), ensuring all grant terms and conditions are adhered to.

14. Council Tax

14.1. A 4.99% total increase in Council Tax made up of a 2.99% increase in Council Tax, and a 2.00% increase in the Adult Social Care Precept is proposed for the 2026/27 financial year.

14.2. Table 19 below shows the impact of the increase on the banded rates of council tax. Note that the Band D figure is in bold text as this is the standard figure used to compare Council tax rates across the country. Note also that 93% of homes in Newham fall into bands A to D, with just 7% in bands E to H.

Table 19 – London Borough of Newham Proposed Council Tax increase

Band	Band A	Band B	Band C	Band D	Band E	Band F	Band G	Band H
2025/26 Rate £	910.39	1,062.12	1,213.85	1,365.58	1,669.04	1,972.50	2,275.97	2,731.16
2026/27 Rate	955.81	1,115.12	1,274.41	1,433.72	1,752.32	2,070.93	2,389.53	2,867.44
Made up of;								
Council Tax %	**2.99%**	**2.99%**	**2.99%**	**2.99%**	**2.99%**	**2.99%**	**2.99%**	**2.99%**
Council Tax £	27.22	31.76	36.29	40.83	49.90	58.98	68.05	81.66
Adult Social Care Precept %	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**	**2.00%**
Adult Social Care Precept £	18.21	21.24	24.28	27.31	33.38	39.45	45.52	54.62
Total Annual Change £	**45.43**	**53.00**	**60.57**	**68.14**	**83.29**	**98.43**	**113.57**	**136.28**
Total Monthly Change £	**3.79**	**4.42**	**5.05**	**5.68**	**6.94**	**8.20**	**9.46**	**11.36**

14.3. **For avoidance of doubt the figures in the table above do not include the GLA Precept.**

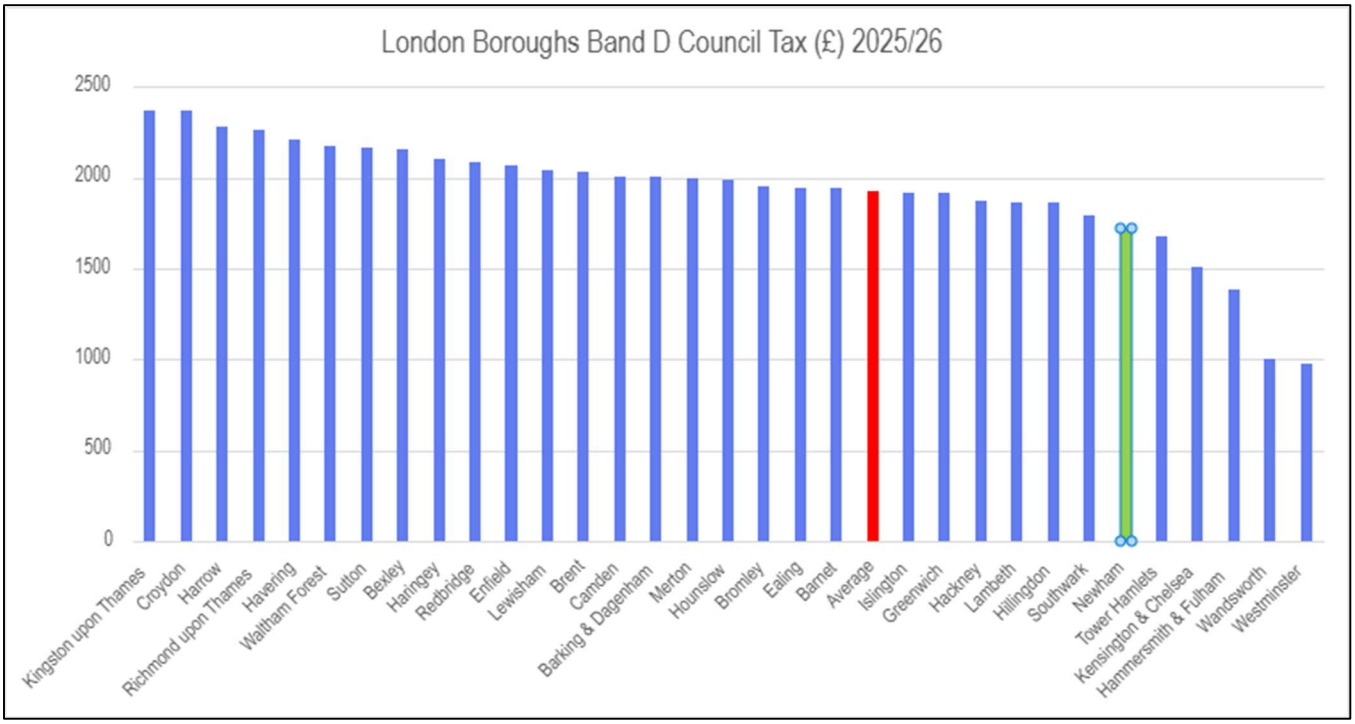
14.4. The Greater London Authority (GLA) draft budget proposes (in line with the provisional LGFS council tax referendum principles): **Total Increase as per Band D: 4.1% £20.13.**

Table 20 – Total Band D Council Tax, inclusive of GLA Precept

Band D	2025/26 £	2026/27 £	Change £
LBN	1,365.58	1,433.72	68.14
GLA	490.38	510.51	20.13
Total	**1,855.56**	**1,944.23**	**88.27**

14.5. The bar chart below compares the current rates of band D council tax across London. Newham, highlighted in green, has the lowest cost council tax in outer London currently. The average rate of band D Council tax is highlighted in red. It is expected that most if not all London boroughs plan to increase council tax by 4.99% for 2026/27.

Chart 3: Council Tax Rates across London (2025/26)



14.6. Following benchmarking across London, the Council consulted on amending the Council Tax Reduction Scheme to offer a maximum of 70% relief rather than the current 80%. The budget proposal is that making this amendment would save the Council £1.57m annually. Whilst this is included in the savings proposals in this paper, the decision to change the Council Tax Reduction (CTR) Scheme is subject to the outcome of that consultation, with the final decision to be made at the full Council meeting on 26 February 2026.

14.7. Whilst the improved funding from Fair Funding Review has negated the need for further Exceptional Financial Support, it has not eliminated the requirement to deliver all of the proposed savings for 2026/27, including the £1.5m reduction in the Council's expenditure on CTR through the proposed changes consulted on, to achieve a legally balanced budget.

14.8. The consultation included a change to the scheme, to give households support for the number of children allowed for in DWP means-tested benefits. This means that if the Government removes the two-child benefit cap introduced in April 2016, households getting CTR will be able to fully benefit from any increase in their household income.

14.9. This change will most benefit those households who, through work, disability or caring responsibilities, are exempt from the government's overall benefit cap; in London, £1,413.92 each month for single adult households and £2,110.25 each month for couples and families.

14.10. These exempt households will see their income from Universal Credit for example increase by £303.94 each month for each child who was previously excluded from support by the two child benefit cap.

14.11. Other households who are not currently subject to the overall benefit cap will see their income increase for previously unsupported children until the total of all their benefits reaches the overall cap amount.

14.12. The proposals do not impact qualifying pensioner households who will continue to receive up to 100% Council Tax Reduction Support.

14.13. The consultation was launched on 12 November 2025 and ran to 13 January 2026. A summary of the findings is below.

14.14. **Summary of Findings**

14.15. There were 425 responses to the consultation with 312 (73.4%) coming from CTR recipients; 101 (23.8%) from Council Taxpayers; and 12 (2.8%) from other residents, organisations or representatives.

14.16. On the proposal to reduce the maximum support to 70%, there was a strong negative response with 65.2% rejecting it; 67.6% of those were in receipt of CTR and 56.4% of other Council Taxpayers.

14.17. The proposal to increase non-dependent deductions annually by the Consumer Price Index was also rejected – 63.5% of all respondents; 63.1% of those receiving CTR and 61.4% of other Council Taxpayers.

14.18. There was a positive response to removing or amending the two-child benefit cap in line with any changes made by central Government to other means tested benefits. 57.4% of all respondents supported the proposal; 56.7% of those in receipt of CTR and 60.4% of other Council Taxpayers.

14.19. **Mitigations**

14.20. The proposed CTR changes from 80% to 70% do not impact qualifying pensioner households who will continue to receive up to 100% Council Tax

Reduction Support. However, 15,614 working age households will be impacted, of which the following claimant groups are overrepresented:

- 93.7% of claimants' female headed single-parent households
- 63.5% of claimants are women
- 42.7% of claimants are Disabled residents
- 26.6% of claimants are Black residents

14.21. In line with the Council's Equality Duty requirements and the Building a Fairer Newham corporate plan policy framework to address inequality and poverty; alongside requirements to meet the government's requirements to address deprivation, several mitigations are already or will be put in place:

14.22. The Council's Collection teams have policies in place to identify vulnerable residents who are in arrears and will make reasonable and appropriate adjustments to debt collection procedures. In the most exceptional cases, the council has discretionary powers to further reduce council tax liability, after an award of Council Tax Reduction.

14.23. Checking a taxpayer's possible entitlement to Department for Work and Pensions (DWP) benefits to maximise their income, including ensuring that Single Person Discounts are awarded to those who are eligible.

14.24. Creating payment plans with a frequency to suit both the taxpayer and the Council to either avoid arrears building or to address arrears that have built. Additionally, residents have the option to pay over 12 months rather than 10 months as well.

14.25. Working closely with DWP and other government agencies to identify forthcoming changes and the effects they will have on our residents so that mitigations can be considered and planned.

14.26. For instance, the newly announced Crisis and Resilience Fund (CRF) will operate from April 2026 to March 2029, replacing the Household Support Fund which has been delivered through short-term tranches of 6 months to 1 year since 2021. The CRF will be used by the Council to ensure households can both manage immediate financial shocks and build longer-term financial sustainability.

14.27. Signposting to the Council's Our Newham Money service which works to support households with debt advice and income maximisation, alongside agencies such as the Citizen's Advice Bureau (CAB) for holistic debt help to support households into pathways to financial sustainability.

14.28. Ongoing evaluation of the mitigations in place so the impacted households are effectively supported.

14.29. As per paragraph 14.8; The consultation included a change to the scheme, to give households support for the number of children allowed for in DWP means-tested benefits. This means that if the Government removes the two-child

benefit cap introduced in April 2016, households getting CTR will be able to fully benefit from any increase in their household income.

15. Medium Term Financial Strategy (MTFS)

15.1. **Appendices R(i), R(ii) and R(iii)** set out the Council's Medium Term Financial Strategy for the next 5 years. A summary is provided below, but appendix R(i) and R(ii) provide full details.

15.2. The MTFS shows a balanced budget for 2026/27, 2027/28 and 2028/29, but then shows forecast budget gaps in the fourth and fifth years of the model.

15.3. **Appendix R(iii)** is the written narrative Medium Term Financial Strategy, and explains the approach taken to date, how to manage the overall financial position, and the way forward in terms of addressing the forecast budget gaps of £15.556m in 2029/30, and £46.077m in 2030/31.

Table 21 – Summary MTFS 2026/27 to 2030/31

	2026/27 £m	2027/28 £m	2028/29 £m	2029/30 £m	2030/31 £m
Base Budgets	**496.405**	**531.179**	**560.093**	**609.457**	**652.431**
Total Growth	59.860	50.170	47.030	41.980	40.433
Total Savings	(54.178)	(24.280)	(9.784)	-	-
Total other changes	29.093	3.024	12.117	0.994	1.988
Net Budget Requirement before Exceptional Financial Support, Flexible use of Capital Receipts	**531.179**	**560.093**	**609.457**	**652.431**	**694.852**
Flexible Use of Capital Receipts	(10.283)	-	-	-	-
Contribution to/(from) Reserve	-	14.589	15.718	-	-
Net Budget Requirement	**520.897**	**574.682**	**625.175**	**652.431**	**694.852**
Income from Central Government and Council Tax					
Fair Funding settlement - Grants	(188.025)	(224.087)	(258.671)	(267.371)	(276.271)
Fair Funding Settlement - Business Rates, S31 grants, and Business Rate Top up	(197.646)	(202.180)	(206.243)	(206.243)	(206.243)
Recovery Grant	-	-	-	-	-
Council Tax	(137.456)	(137.456)	(148.415)	(160.261)	(163.261)
Assumed increases in Council Tax set out in the MTFP	-	(6.859)	(7.406)	-	-
Assumed future increase in Council Tax Base	-	(4.100)	(4.440)	(3.000)	(3.000)
Deficit on Collection Fund (NNDR)	2.230	-	-	-	-
Total Income from Central Government and Council Tax	**(520.897)**	**(574.682)**	**(625.175)**	**(636.875)**	**(648.775)**
Incremental Budget Gap				15.556	30.521
Cumulative Budget Gap	**-**	**-**	**-**	**15.556**	**46.077**

* *This line does not include the Council Tax Reduction Scheme saving included in the Savings Appendix. This is accounted for within the council tax line.*

15.4. **Appendix S** provides information on how different scenarios on Council Tax Increases would cumulatively impact the MTFS position. It illustrates how the forecast cumulative budget gap for 2030/31 would be £29.933m if a Council Tax increase of 4.99% was agreed in every year, forecast compared to a budget gap of £49.070m if a council tax increase of 1.99% was agreed in year instead.

16. Risks and Contingency

16.1. The risks that the council faces were outlined in Section 3 of this report, but the main risks are repeated here for convenience.

16.2. National and economic risks impacting the budget and Financial Strategy include the following:

16.3. **Economic growth** – The inability to attract and retain investment, stimulate local business growth, and implement economic development strategies will result in stagnant or declining economic performance, reduced employment opportunities, and diminished public revenue, ultimately impacting the quality of local public services and increased financial instability.

16.4. **Economic Risks** – Increasing costs due to inflation and demographic pressures resulting in significant savings requirements in future years. A separate provision has also been set against the risk of fluctuations in the cost of energy supply, such as has been experienced in recent years.

16.5. **Interest rates** – risks of adverse movements on rates, both in terms of borrowing and investments. The risk of a sudden rise in the rate of inflation; the latest Retail Price Index is currently at a level above the Bank of England's target of 2% per annum. Whilst inflation allocations in the budget reflect the current trends, we have seen in recent years global and macroeconomic events cause a steep increase in the rate of inflation which would feed through into higher costs of pay, supplies and services and contracts, as well as impacting the cost of borrowing to fund the Capital Programme. Whilst much of the Council's debt is fixed rate, the requirement to replace maturing loans exposes the Council to interest rate volatility.

16.6. **Pay Settlements** – An appropriate provision has been set aside to cover a pay increase in-line with that negotiated, at a national level, for 2025/26. The Chief Officers' Pay Policy Statement is an annual document for Council to approve and sets out the arrangements for senior officer pay, this can be found in Appendix U. This provision is also set and designed to meet any additional cost of members allowances or additional cost if members are admitted during the year to the Local Government Pension Scheme (LGPS).

16.7. **Climate change and the environment** – Failure to prioritise and address climate change impacts will result in environmental degradation, public health crisis, widening social inequality and economic stability, infrastructure damage and budget pressures from emergency response costs and funding shortfalls.

16.8. Budget Risks include the following:

16.9. **Contract failure** – Due to risk of suppliers and contractors defaulting as a result of financial difficulties.

16.10. **Demographic demand** – Significant increases in demand generally for statutory and essential services put pressure on the service and may lead to increased unit costs.

16.11. **Adult Social Care** – Increasing demographic pressures on demand and escalation of care need in excess of what has been budgeted for. Complex cases can be difficult to predict and may result in increased financial pressures

16.12. **Homelessness** – In line with the national issue affecting many local authorities across the country, the Council continues to experience high demand, and there remains a risk of this demand increasing further should the national and local housing markets become even more difficult.

16.13. Specifically, there is the risk of slower than planned delivery on Temporary Accommodation demand management and cost savings measures. The budget reflects the intent to reverse the recent trajectory of spend on this important service area. This is clearly a risk to achieving a balanced outturn and is mitigated by concerted and focused management attention and the ongoing transformation of all aspects of this service.

16.14. **Children's Social Care** – Increasing levels of demand and increased complexity of need may drive further cost increases, particularly in relation to external residential care

16.15. **SEND Transport** – Increasing levels of demand and increased complexity of need may drive further cost increases in Home to School Transport.

16.16. **Budget Savings Implementation** – due to potential delay or under achievement of agreed planned savings to time, value and profile. Regarding the risk of non-delivery or slippage on MTFS savings; whilst the Council has a relatively good record of savings delivery and is currently reporting 84% as per the Quarter Three Budget Monitoring report to Cabinet, there remains the risk of slippage on achieving the projects intended to save and achieve value for money. This is mitigated by the budget setting process itself which seeks to ensure that savings plans are robust and achievable.

16.17. **The cumulative impact of savings plans** – the increasing challenges of achieving the on-going significant budget savings to maintain levels of service provision.

16.18. **Capacity and Capability** – potential lack of skills and expertise to develop and deliver services, transformation, improvements and change.

16.19. **Capital programme** – Managing the programme to meet deadlines and within agreed budget allocations.

16.20. **Income uncertainties** – Uncertainties on collection including Council Tax, Business Rates, demand for fee paying services and Parking Enforcement Income.

16.21. **Statutory override Dedicated Schools Grant (DSG)** – The Council has a forecast opening deficit on the DSG of £8.729m in 2026/27. Although the government have recently announced that the majority of DSG deficits will be centrally funded, the Council awaits details on how this announcement will work.

16.22. **Tax changes** – Any change to tax including, for example, the landfill tax.

16.23. **Cyber Attack** – The risk of a cyber attack or other extreme event which adversely affects the council's operations, and results in additional costs in order to safeguard the provision of Council services. Measures to mitigate the risk of cyber attacks are constantly being employed and developed by the Council's Digital and Data Technology service.

16.24. **Council Owned Companies and Commercial Ventures** – Financial impacts from economic and operational changes that have financial impacts on the Council.

16.25. **School Closure** - The risk of the Council's General Fund having to cover the cost of school closures as the borough's pupil numbers continue to fall, where schools have to close any deficit on the school's budget will be covered by the General Fund.

16.26. The proposed budget sets a general Contingency budget of £10.000m for 2026/27. This budget is only to be employed to meet those in-year financial pressures that Service Directorate budgets are unable to cover or mitigate. The Contingency is the second line of defence.

16.27. A separate provision has also been set against the risk of fluctuations in the cost of energy supply, such as has been experienced in recent years.

16.28. This report does not list all potential risks facing the Council in the 2026/27 financial year, but there are clearly some known risks, against which it is sensible to hold a Contingency Budget, a Business Risk Reserve and sufficient level of reserves. Examples of these risks are given below.

16.29. The risk of a sudden rise in the rate of inflation; the latest Retail Price Index is currently at a level above the Bank of England's target of 2% per annum. Whilst inflation allocations in the budget reflect the current trends, we have seen in recent years global and macroeconomic events cause a steep increase in the rate of inflation which would feed through into higher costs of pay, supplies and

services and contracts, as well as impacting the cost of borrowing to fund the Capital Programme.

17. Earmarked Reserves

17.1. The Section 151 officer conducted a review of all earmarked reserves in January and February 2026. The results of this review are included in **Appendix T** of this report and are summarised in the table below.

Table 22 – Earmarked Reserves

Earmarked Reserves	31 March 2026 Forecast £m	31 March 2027 Estimated £m	31 March 2028 Estimated £m	31 March 2029 Estimated £m	31 March 2030 Estimated £m
Restricted Reserves	21.494	20.344	19.344	18.344	17.344
Other Earmarked Reserves	15.435	10.669	8.969	7.269	7.469
Collection Fund Reserve	14.223	11.993	11.993	11.993	11.993
Treasury Reserve	6.529	6.529	6.529	6.529	6.529
Transformation Reserve	3.000	3.000	3.000	3.000	3.000
Business Risk Reserve	20.000	33.615	48.688	51.922	55.136
Subtotal	**80.681**	**86.150**	**98.523**	**99.057**	**101.471**
Unallocated General Fund Balance	52.090	57.468	62.517	63.687	64.877
School Balances Reserve	22.800	20.700	18.600	16.500	16.500
HRA Reserves	40.191	40.191	40.191	40.191	40.191
Dedicated Schools Grant Deficit	(8.729)	(8.729)	(8.729)	(8.729)	(8.729)
Total	**187.033**	**195.780**	**211.102**	**210.706**	**214.310**

17.2. The unallocated 'General Fund Balance' has been set at level equivalent to 10% of the Net Revenue Budget, £52.090m. This is a marked increase on the level of General Fund Balance, which was previously at less than 3% of the net revenue budget. This has been achieved in the following ways;

- by making the Budget budgeted contribution to reserves of £2.933m in 2025/26;
- by adding the forecast underspend for 2025/26 of £8.200m to the General Fund Balance.

17.3. The £11.133m would take the reserve up to £25.003m, which is approximately 5% of net revenue budget, but this is further increased by consolidating and prioritising of other Earmarked Reserves, particularly those described in the latest Going Concern Statement to Audit Committee in June 2025 as being considered available if they needed. The movements are;

- £18.615m taken by closing the capital financing reserve
- £12.600m taken from the treasury reserve
- £7.047m taken from the collection fund reserve

- £8.552m taken from other reserves which were reviewed as no longer being required.

17.4. £23.814 of the above is being added to unallocated reserves to bring it to £52.090m which is equivalent to 10% of the Net Revenue Budget.

17.5. The standard advice for Local Authorities in setting general or unallocated reserves is to set at between 5% to 10%. Setting at this level provides the Authority with a secure reserve which provides a stable foundation for a resilience in a sustainable Medium Term Financial Strategy.

17.6. The reserves review also created;

- A new £3.000m Transformation reserve
- A new £20.000m Business Risk reserve

17.7. The Transformation reserve will provide additional funds, if needed, to enable the Council's transformation and improvement. The 2026/27 budget already provides resource to do this, but this reserve can be held until needed in future.

17.8. The Business Risk reserve represents the third line of defence against financial risk. The first two lines being Service budgets themselves, which have been estimated carefully with budgetary growth provided against risks, and then the Council's Contingency budget, which is being set at £10.000m or 2% of the Net Revenue budget. The Business risk reserve will only be called upon once those two risk mitigations, or lines of defence, have been utilised.

17.9. The fourth line of defence are all other unrestricted reserves with the final line of defence, the unallocated General Fund Balance the safety net of the Council. It is intended that this will remain at 10% and only be called upon in times of extreme financial stress which endanger the Council's ability to continue its operations. The MTFS for the next 3 years allows for a budgeted contribution to this reserve each year, to maintain it at the 10% level.

17.10. The capital financing reserve, treasury reserve and collection fund reserve which have made up the bulk of the transfer of reserves, are not new funding or resources. The council has long held these reserves, with usage restricted to minimal smoothing of budget pressures and underspends, except for when the capital financing resource had to be used to cover an element of the Council's overspend in 2023/24 and 2024/25. These overspends came at a time of extreme financial pressure with rapidly rising temporary accommodation costs outstripping any increase in the council's available resources at that time. These reserves have always reported them in the annual Going Concern Statement produced alongside the statement of accounts.

17.11. The financial landscape has changed significantly for Newham following the Fairer Funding Review. The reserves review provides a clear presentation of earmarked reserves that are held against financial risk, and shows all stakeholders, unequivocably, that 10% General Fund Balance are set aside, and will not be touched unless in the most extreme circumstances.

17.12. In **Appendix A**, the Section 151 Officer states that they consider that the proposed Budget for 2026/27 is robust, including its reliance upon delivery of a £54.178m programme of savings, dispensation to utilise up to £15.283m of capital receipts to fund transformation, and that a proposed increase in Council Tax of 4.99% is adequate.

17.13. The Section 151 Officer considers that subject to the approval of these plans, the level of Reserves for 2026/27 is adequate.

18. Value for Money Commentary and Best Value Notice

18.1. In its audit report of February 2025, the Council's external auditor, Ernst and Young commented on the Council's arrangements for securing economy, efficiency and effectiveness in its use of resources. In this commentary the auditors identified a risk of significant weakness given that the Council had made decisions to use general fund balances (also known as unallocated general reserves) to fund deficit budgets and that this had reduced those balances below the Council's recommended minimum levels.

18.2. The report recommended that the council;

> "*The Council requires urgent action to restore it to a financially sustainable position*" and "*It should consider actions required to address the continuous use of reserves and capital receipts to support the general fund budget and restore the general fund reserve to the level recommended by the Corporate Director of Resources*. *It is the responsibility of all officers and elected members to work together to agree and deliver plans to return the Council to a financially sustainable position*"

18.3. In May 2025 the Council received a letter of concern in the form of a non-statutory Best Value Notice from MHCLG, in part because of the value for money weaknesses identified by the auditor. These acknowledged steps being taken by the Council, but requires Newham to make further improvements, including to;

> "Take steps to improve its financial sustainability, reflecting this in the council's medium term financial strategy."

18.4. Steps have now been taken. The proposed budget for 2026/27 and MTFS presented in this report unequivocally sets and maintains the General Fund Balance at 10% of the Net Revenue Budget, and shows a Balanced Sustainable Budget for the next 3 years. Appropriate Contingency and Risk reserves have been set to provide Financial Resilience, and future iterations of the MTFS will address the budget gaps in year 4 and 5 of the modelling.

19. Education Funding

19.1. As an education authority the Council also receives the following funding to passport / administer funds to local schools and retain to fund central functions:

- Dedicated Schools Grant (DSG)
- Universal Infant School Meals (UIFSM)
- Pupil Premium Grant (PPG)
- Devolved Formula Capital Grant
- PE and Sports Premium

Dedicated Schools Grant

19.2. On 17 December 2025, The DSG settlement for 2026/27 was published. Blocks within the settlement for the Schools Block (SB), High Needs Block (HNB), Early Years Block (EYB) and Central Schools Services Block (CSSB) are based on calculations under the National Funding Formula (NFF). The DSG settlement for 2026/27 is £579.261m before Academy Recoupment; an increase of 1.06% over 2025/26. Note that the Schools Business Support Grant (SBSG) and National Insurance Contributions (NIC) grant in 2025/26 has now been added to the DSG in 2026/27 and thus the 2025/26 figures have been re-baselined to include this grant. Refer to **Appendix J(i), (II)** 2026/27 DSG Settlement and **J(iii)** – Schools Formula Proposed Funding Factors 2026/27 for further information.

Table 23: DSG Settlement 2026/27

DSG Funding	Schools Block *	High Needs Block	Early Years Block	Central Services Schools Block	Total Allocation (Before recoupment and High Needs place deductions)
	£m	£m	£m	£m	£m
2025/26	437.160	82.635	50.749	2.647	573.191
2026/27	430.741	85.002	60.747	2.770	579.260
Movement	(6.419)	2.367	9.998	0.123	6.069
Movement %	(1.47%)	2.86%	19.70%	4.65%	1.06%

** Includes SBSG and NIC*

19.3. Members of **Schools Forum** were informed at their 19 January 2026 meeting of the DSG settlement for 2026/27.

DSG – Schools Block

19.4. In 2026/27 Schools Block budgets continue to be set based on a single National Funding Formula. Under this system, the DfE used October 2025 census data and 2025/26 baselines to generate Primary Units of Funding and Secondary Units of Funding. For Newham, these figures are £7,077.48 and £9,039.53 respectively.

19.5. The resulting Unit values are then multiplied by October 2025 census data (£7,077.48 x 30,472 plus £9,039 x 22,555). This amounts to £419.552m. Added to this are historic allocations for explicit growth, and premises costs (rates, split sites and PFI) of £11.189m to give a total Schools Block allocation of £430.741m, a decrease of 1.47% compared to 2025/26.

19.6. Nationally, there has been no significant policy change in mainstream schools funding formula. As in previous years, inner London boroughs have the lowest per pupil increases. Newham has the fifth lowest per pupil increase nationally (third lowest per pupil increase nationally in 2025/26 at 1.52%, second lowest in 2024/25 and third lowest in 2023/24).

19.7. The single largest determinant of schools funding are pupil numbers, and the decrease can be attributed to the reduction of 1,646 pupils. There is no protection in the NFF for falling rolls. This represents a significant reduction in spending power for schools which is greater in real terms once inflation is factored in. In the previous year, the October 2024 census reported a reduction of around 1,200 pupils. This represents a reduction of 2,846 pupils over a two-year period, equating to a funding loss of around £22m.

19.8. In 2026/27 the Council will continue to allocate the Schools Block on the basis of the National Funding Formula.

DSG – Central Schools Services Block

19.9. **The Central School Services Block (CSSB)** was introduced in 2018/19 and includes funding for specific central schools' services operated by the Council. The total allocation for 2026/27 is £2.770m, for both ongoing duties and historical commitments. The overall allocation represents an increase of 4.65%compared to 2025/26.

DSG – High Needs Block

19.10. DfE recently announced that in 2026/27 they are temporarily suspending the high needs national funding formula (NFF), which in previous years has been used to calculate local authorities' high needs allocations. Instead, local authorities' allocations will be based on their 2025/26 allocations, with some adjustments. Following wider reforms to the SEND system, which the government will set out in early 2026, they will review the methodology for allocating high needs funding so that it supports the SEND reforms.

19.11. The allocation is based partly on a historical spend factor as well as other proxy factors the Import/Export adjustment, funding for Teachers' Pension Employer Contributions and an adjustment for new and growing free schools. This together with the Basic Entitlement totals £64.932m which represents an increase of £1.814m a 2.9% compared to 2025/26.

DSG – Early Years Block

19.12. For Newham, the local authority funding rate under the Early Years National Funding Formula (EYNFF) has been set at £13.85 per hour for 2026/27 for 3 and 4 year-olds (for both the universal offer and the additional hours offered to working families). Local Authorities are required to pass 96% of their 3 and 4 year old funding from Government to Early Years Providers. The pass-through amount includes the base hourly as well as deprivation, contingency, and SEN inclusion funding.

19.13. Local authorities must have a deprivation supplement for 3 and 4 year-olds and have discretion to include a certain other specified funding supplement. The total value of supplements used must not exceed 10% of the total value of planned funding to be passed through to providers.

19.14. The hourly rate for disadvantaged 2 year-olds has been set at £10.08 per hour which is an increase of 4.78% compared to 2025/26. The 2-year-old offer has also been extended to include working families. The total estimated allocation for 2026/27 for both disadvantaged 2 year old entitlement and the 2 year old entitlement for working families is £16.392m,

19.15. For under 2's Newham has been provisionally allocated £11.602m to deliver the enhanced offer

19.16. There are further allocations £0.364m of Early Years pupil premium and £0.345m Disability Access Funding. This gives a total Early Years Block settlement of £60.747m and increase of 19.7% compared to 2025/26. The Early Years block amount is then distributed to providers using the locally agreed Early Years formula rates and criteria.

Universal Infant Schools Meals (UIFSM)

19.17. Schools will also receive funding for UIFSM for eligible children in Reception, Year 1 and Year 2 on the school's roll at the October 2025 and January 2026 census days. Each meal taken by an eligible pupil attracts a per meal value. An allocation assumes that pupils take 190 school meals over an academic year, providing a per pupil annual amount.

19.18. Since September 2023 the Mayor of London has allocated funding to provide free meals to all pupils in key stage 2 (year 3 to 6) who do not receive a free school meal. This funding is for the 2024/25 and 2025/26 academic years. This now funds the Eat for Free scheme previously funded by Newham.

PE and Sports Premium

19.19. Schools receive funding to make additional and sustainable improvements to the quality of their physical education (PE), physical activity and sport Schools Direct Funding

19.20. Some schools will receive Schools Direct funding as a contribution to the training and salary costs for each qualifying trainee on School Direct (salaried) courses. Payments are made in 11 instalments, based on the trainee data the schools submit.

Pupil Premium Grant

19.21. The Pupil Premium Grant provides funding for:

- Raising the attainment of disadvantaged pupils of all abilities to reach their potential.
- Supporting children and young people with parents in the regular armed forces.

19.22. It is allocated for all pupils who have been eligible or are eligible for free school meals during the last six years (FSM6), looked-after children, children who have ceased to be looked-after, and service pupils, at the following rates per pupil:

- Primary FSM6 pupils: £1,550
- Secondary FSM6 pupils: £1,100
- Looked-after children: £2,570
- Children who have ceased to be looked-after: £2,690
- Service children: £360

19.23. It is currently estimated that the authority will receive £11.096m Pupil Premium Grant in 2026/27; however, this will be subject to change based on actual pupil numbers.

Devolved Formula Capital Grant

19.24. Each year, the DfE allocates funding to help maintain and improve the condition of school buildings and grounds. This funding is made up of:

- School Condition Allocations (SCA): given to eligible bodies responsible for maintaining school buildings.
- Devolved Formula Capital (DFC): allocated to schools and other eligible institutions.

DSG Deficit Management Plan

19.25. The DSG deficit peaked at the end of 2022/23 reaching £18m. A recovery plan delivered in-year underspends in subsequent years reducing the deficit year on year. The deficit at the start of the financial year 2025/26 was £8.729m. For 2026/27 the High Needs block balances to the in-year block allocation.

20. Next Steps

20.1. Cabinet meets on 17 February 2026 to decide whether to recommend this budget report to Full Council at its budget setting meeting on 26 February 2026.

20.2. Budget Scrutiny Commission will report its findings and recommendations on 12 February 2026, ahead of Cabinet on the 17 February 2026.

21. Delivering Council Policy and Corporate Priorities

21.1. The Council's budget allocates resources so that directorates can deliver the Council policies and corporate priorities as set out in the Building a Fairer Newham Corporate Plan. There is clearly an interaction between prioritisation and decisions on savings and growth, so the budget reflects updated priorities.

22. Alternatives Considered

22.1. This report contains proposals which achieve a balanced budget for 2026/27. Prior to the final budget setting at the planned full meeting of the Council, alternative proposals can be considered, but the end result, must provide a balanced budget for the coming financial year.

23. Consultation and Scrutiny

23.1. Cllr Zulfiqar Ali, Lead Member for Finance and Resources, July 2025 to February 2026.

23.2. Mayor and Cabinet, December 2025 to February 2026.

23.3. Budget Scrutiny Commission January 2026.

24. Implications

24.1. Finance Implications

24.2. Financial implications are covered throughout the main body of this report and also in **Appendix A**, which provides the statutory advice of the Section 151 Officer. This advice is known as the Section 25 Statement.

24.3. In summary; the advice of the Council's Interim Chief Finance Officer (Section 151 Officer) in their Section 25 report, relates to the robustness of the Budget estimates and the adequacy of the level of Reserves for 2026/27, as required by Section 25 of the Local Government Act 2003.

24.4. The responsibility of Council Members under Section 31A of the Local Government Finance Act 1992, to have regard to this 'Section 25 Statement' (**Appendix A)** when making decisions on agreeing the Budget and setting the Council Tax for the financial year 2026/27.

24.5. **Legal Implications**

24.6. The Council is required under Part 1, Chapter III of the Local Government and Finance Act 1992 (the 1992 Act) to set a council tax for the forthcoming year and confirm its budget estimates. In accordance with Section 30(6) of the 1992 Act, the decision must be made before 11 March of the preceding year (i.e. by midnight on 10 March) but is not invalid merely because it is made on or after that date.

24.7. Each Member has a positive duty to ensure that the Council complies with its legal obligations, to set a lawfully balanced budget. In doing so, the Council's prospective expenditure must not be likely to exceed its resources available to meet that expenditure.

24.8. The Chief Finance Officer has a legal duty to report to the Authority on the robustness of the estimates made for the purposes of the calculations and the adequacy of the proposed financial reserves. Cabinet must consider the Chief Finance Officer's advice in this regard, when determining whether the proposals should be recommended to Council for approval.

24.9. The approval of the budget and calculation of council tax is a decision reserved to (Full) Council under Section 67(2)(b) of the 1992 Act. Should Council seek to reject or vary the budget in any material respect (in a way which is contrary to the 43 Executive's recommended budget), then the statutory process set out in Part 4.3 of the Constitution must be followed.

24.10. Cabinet and Council, in recommending and then setting the Council Tax, must have due regard to the impact those decisions will have upon the Council's statutory public sector equality duty as set out below.

24.11. **Equalities Implications**

24.12. The Public Sector Equality Duty (PSED) under Section 149 of the Equality Act 2010 requires the Council, when exercising its functions, to have due regard to:

- the need to eliminate discrimination, harassment, victimisation and any other conduct that is prohibited by or under the Equality Act 2010;
- the need to advance equality of opportunity between persons who share protected characteristics and those who do not, and;
- foster good relations between those who have protected characteristics and those who do not.

24.13. 'Protected characteristics' are: age, gender, race, disability, sexual orientation, marriage and civil partnerships, religion or belief, pregnancy and maternity and gender reassignment. The Council also recognises socio-economic disadvantage, care experience and health and wellbeing status as additional characteristics.

24.14. Any budgetary decisions which subsequently need to be taken should be made in accordance with the duty set out above.

24.15. Due regard means giving proper and focussed consideration of the impact of the decision on meeting its equalities duties. The primary focus should be on any adverse equalities implications that will arise from a decision and how they can be avoided and / or how they are mitigated in the decisions. The amount of focus on the duties will vary with each decision and how far they adversely impact on protected characteristics.

24.16. Members should note that budget decisions on services form only an allocation of funds to a service or area; they do not constitute the final decision on service delivery. Where changes to service delivery are proposed by budgetary changes, a full equalities assessment will be undertaken before the final decision is made by Cabinet. It is to be noted that the Mayor and Cabinet have stated that for the purposes of the Budget setting process for 2025/26 and the MTFS period enhanced diligence will be applied to saving proposals brought forward for consultation, engagement and approval.

24.17. **Cumulative Equalities Impact Assessment**

24.18. **Appendix O** provides a full cumulative equalities impact assessment of this budget, following individual assessments of each savings proposal in the draft budget.

24.19. It is up to decision-makers to balance the equality implications of all the proposals against other factors including the Council's difficult budgetary pressures. If decision-makers believe they need more information regarding the equality implications of a specific proposal before making a final decision on whether to approve a proposal, this should be indicated to lead officers.

24.20. Decision makers should note the analysis for some proposals is indicative at this stage. Once proposals are finalised, the likely equalities impacts will need to be reviewed considering any changes made or additional information that has come to light. Some proposals may have further cabinet papers produced over the financial year; following statutory consultations for example, where more in-depth equality implication reports must be presented.

24.21. **Climate Implications**

24.22. This report will not materially directly impact the Council's response to the Climate Emergency as iterated in its Just Transition Climate Action Plan, published in December 2023, but subsequent decisions on resource allocation could do so.

25. Background Information Used in the Preparation of this Report

25.1. 2026/27 Draft Budget Proposals: Creating the pathway to financial sustainability and delivering a Fairer Newham
Agenda for Cabinet on Thursday 8th January 2026, 10.30 a.m. – Newham Council

25.2. October Finance Review 2025
Agenda item - October Finance Review Report 2025 – Newham Council

25.3. July Finance Review 2025
Agenda item - July Finance Review – Newham Council

25.4. Schools Forum on 15th December 2025
Newham Schools Forum 15-12-2025

25.5. HRA Business Plan December 2025
Cabinet Report Dec 2025 - HRA Business Plan Update.pdf

25.6. The council's draft accounts for 2024/25 were reported to the Audit Committee on 30 June 2025, and published on the council's website, meeting the statutory deadline.
Agenda for Audit and Governance Committee on Monday 30th June 2025, 7.00 p.m.

25.7. The budget setting and MTFS reports back to the Summer Finance Review 2024 are available on the links below.
Agenda item - 2025/26 Budget Setting Report: Sustaining a Fairer Newham and Addressing the Financial Challenges Ahead
Agenda item - December 2024 Finance Review: Draft Budget Proposals for 2025/26
Agenda item - October Finance Papers - Quarter Two 2024/25 Budget Monitoring and Review
Agenda item - Summer 2024 Finance Review Report